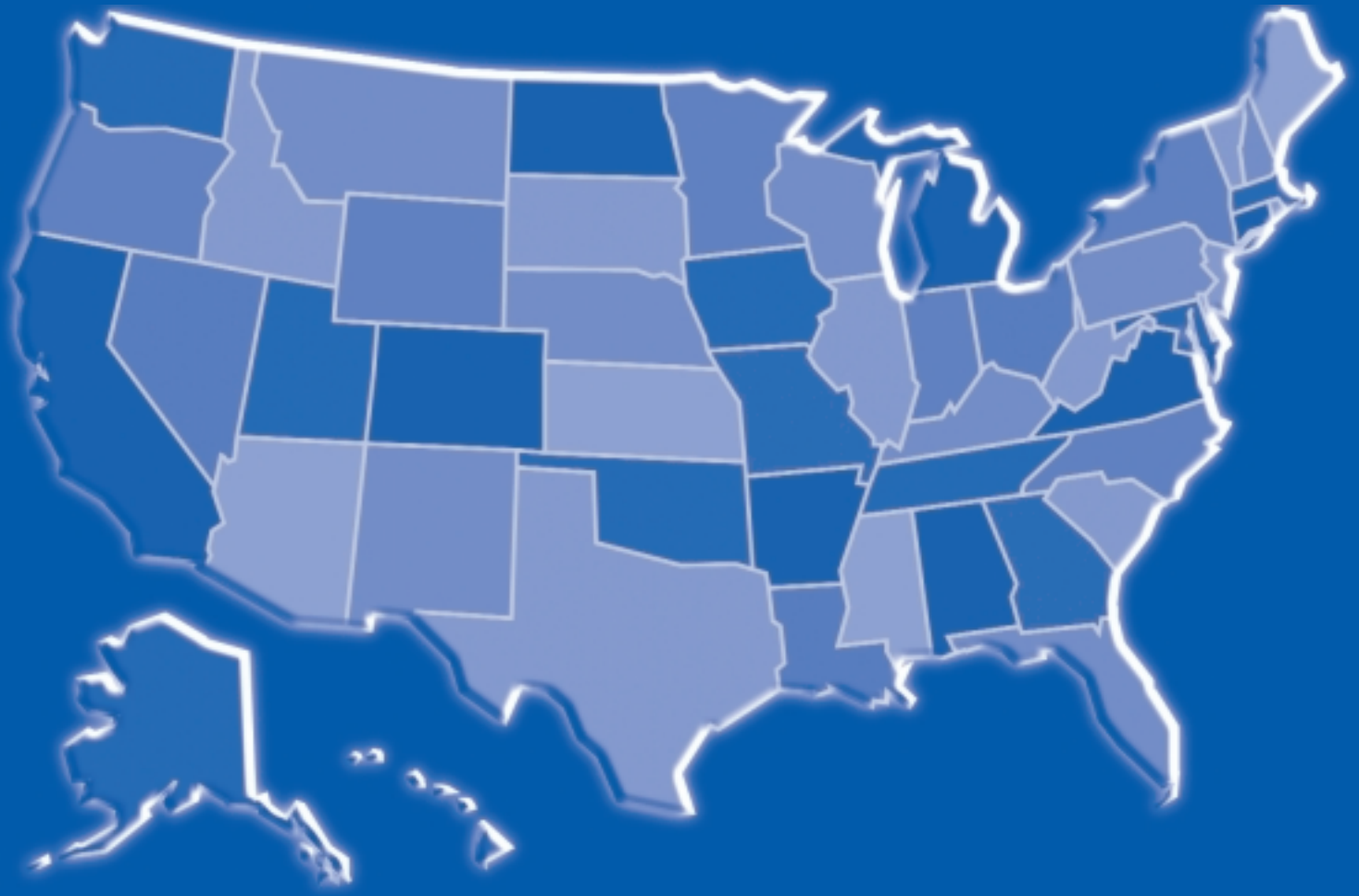






UNIVERSAL SERVICE AND YOU



Universal Service Administrative Company
2001 Annual Report

Corporate Information

Universal Service Administrative Company
2120 L St. NW, Suite 600
Washington, DC 20037

Tel. (202) 776-0200
(888) 641-8722
Fax (202) 776-0080
Website: <http://www.universalservice.org>

Program Information**High Cost Support Mechanism**

High Cost/Low Income Division
80 S. Jefferson Rd.
Whippany, NJ, 07981

Tel. (202) 776-0200
Website: <http://www.universalservice.org/hc/>

Low Income Support Mechanism

High Cost/Low Income Division
80 S. Jefferson Rd.
Whippany, NJ, 07981

Tel. (202) 776-0200
Website: <http://www.universalservice.org/li/>

Rural Health Care Support Mechanism

Rural Health Care Division
80 S. Jefferson Rd.
Whippany, NJ, 07981

Tel. (800) 229-5476
E-mail: rhc-admin@universalservice.org
Website: <http://www.rhc.universalservice.org>

Schools and Libraries Support Mechanism

Schools and Libraries Division
P.O. Box 7026
Lawrence, KS 66044-7026

Tel. (888) 203-8100
Fax: (888) 276-8736
E-Mail: questions@universalservice.org
Website: <http://www.sl.universalservice.org>

USAC Billing and Disbursement

Universal Service Administrative Company
Attn: Billing & Disbursement
P.O. Box 223164
Chantilly, VA 20153-3164
Tel. (703) 322-5100
Fax: (703) 322-3200
E-Mail: B&D@universalservice.org

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Message from the Chairman and the CEO

On behalf of the USAC Board of Directors and USAC staff, we are proud to report that USAC has played an important role in bringing people together through communications. In just four years, we have built a corporation from the ground up that has funded access to communications technology for millions of Americans. This technology has spurred commerce and increased access to information and emergency services, educational services, health care in rural areas, and other critical services.

In 2001, USAC faced numerous challenges, implemented a myriad of changes, and accomplished many goals. This Annual Report focuses on four themes: Utilization, Synergies, Accomplishments, and Compliance.

Utilization – In the four years since USAC was created, we have disbursed over \$15 billion to nearly 8,000 service providers. In 2001 alone, USAC disbursed \$4.7 billion to approximately 5,500 service providers. The number of applicants and service providers participating in the universal service support mechanisms continues to grow. Most importantly, these funds are being *utilized*. Universal service support is making a real difference in the everyday lives of consumers across this country.

One example of universal service support making a real difference occurred on the night of September 11. The staff of the New York Public Library system made the decision to open all usable branch libraries the next day, despite many business closings around them. The next morning at the Mid-Manhattan Library, over 200 people were standing in line when the librarian arrived, desperate to use the Internet to contact family and friends. The Schools and Libraries Support Mechanism helps to fund the Internet access at this library.

Universal service support is also making a difference across the country in Kobuk, Alaska, a tiny village with a population of 109. Prior to the establishment of the telehealth network, the only access to treat-

ment from a doctor was either through medivac, which required sending a plane to Kobuk and flying the patient to Kotzebue, or more commonly, through ham radio or telephone. The Rural Health Care Support Mechanism has helped to establish the telehealth network, and with this network a doctor can now consult with the patient and provide medical attention or in a trauma situation walk a health practitioner through the appropriate treatment.

These are just two examples of how universal service support has been utilized to make a real difference.

Synergies – USAC continually seeks ways to improve administration of the support mechanisms in order to provide better service while keeping administrative costs low. In order for us to provide better customer service, it is critically important for USAC to communicate with our stakeholders and seek synergies.

We work closely with our customers: rural health care organizations; service providers; federal, state, and local school, library, and regulatory officials; tribal leaders; and other stakeholder groups. These groups have provided suggestions that have helped to improve customer service, reduce administrative expenses and reach consumers that could benefit from the program. Our stakeholders have helped USAC leverage resources and achieve *synergies*.

Accomplishments – In 2001, the FCC again entrusted USAC to implement significant changes in the administration of the universal service support mechanisms. USAC has implemented those changes consistent with FCC rules in an efficient and effective manner.

In May, the FCC approved a revised High Cost support mechanism for rural carriers. This revision provides additional funding for rural carriers. USAC successfully implemented this change by July 1. Additional changes affecting rural carriers are scheduled to be implemented in 2002.

In late 2001, the FCC created an entirely new mechanism for rural carriers: Interstate Common Line Support (ICLS). Implementing ICLS and the balance of the changes to the High Cost Support Mechanism for rural carriers will be a major challenge facing USAC in the coming year.

In addition, the FCC changed the revenue base upon which assessments are made. This change reduces the lag in revenue reporting, which has resulted in systems changes being made and the requirement for four additional quarterly filings by USAC to the FCC. This change was implemented in 2001.

We have improved our web site, www.universalservice.org. We enhanced the High Cost and Low Income sections to include information to help new participants apply for support. Features have been added to the Rural Health Care and Schools and Libraries sections that now allow participants to check the status of their applications. All of USAC's filings with the FCC are also posted on the web site.

One of our most important *accomplishments* was the implementation of electronic certification capability for the Rural Health Care and Schools and Libraries Support Mechanisms. Now applicants can submit all of the time-sensitive information regarding their applications electronically and receive immediate confirmation of the transaction. This improvement will not only save money, but also make the process easier and faster for applicants.

We are proud of our accomplishments and continue to seek ways to improve our efficiency and customer service. Our administrative expenses continue to be very low – less than one cent of every dollar collected in 2001 was used for administrative expenses.

Compliance – Program integrity is the bedrock upon which the successful administration of the universal service support mechanisms must be built.

USAC significantly expanded its internal audit team in

2001 to provide another check on our operations and on those of program participants. We implemented an integrated enforcement and program integrity plan with law enforcement agencies, FCC staff, and our external auditors. This coordinated effort has USAC's full support and that of the Board. It will draw on the expertise of our General Counsel's office, our newly expanded Internal Audit staff, our programmatic managers and our contractors.

USAC has developed strong relationships with FCC enforcement and investigatory personnel and other law enforcement agencies. USAC will continue to seek improvements in internal controls and *compliance*.

Our operations are audited annually by an independent audit firm. The auditors again provided USAC with a clean opinion for the year 2000.

The future will provide opportunities and challenges. We plan to continue to improve our service to customers, expand operational capabilities and procedures to prevent waste, fraud, and abuse, and reach additional consumers while continuing to keep administrative costs reasonable.

USAC is pleased to play a part in bringing affordable telecommunications services to consumers across the country. We look forward to the challenges and opportunities that lie ahead.



Frank J. Gumper
Chairman of the Board



Cheryl L. Parrino
Chief Executive Officer

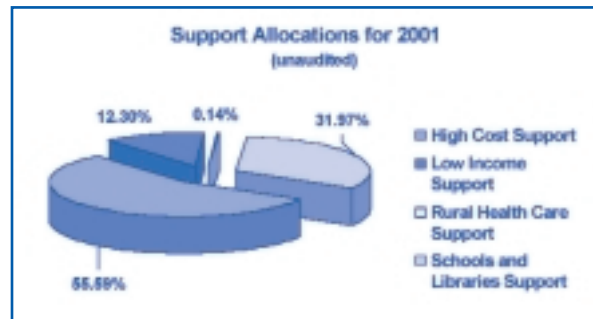
USAC Overview

The Communications Act of 1934 stated that all people in the United States should have access to "rapid, efficient, nationwide ... communications service with adequate facilities at reasonable charges." In the Telecommunications Act of 1996, Congress further refined this goal of "universal service," decreeing that it is federal policy to provide support for services "essential to education, public health, or public safety," and that all people, regardless of location or income level, should continue to have affordable access to telecommunications and information services.

The support mechanisms necessary to achieve this universal service objective are administered by the Universal Service Administrative Company (USAC), an independent not-for-profit organization regulated by the Federal Communications Commission (FCC). USAC's charge is to ensure that all people receive the benefits of universal service consistent with the Communications Act and FCC regulations in an effective and efficient manner.

USAC submits this annual report to Congress and the FCC in accordance with 47 CFR § 54.702 (h), which requires USAC to report on "operations, activities, and accomplishments for the prior year, including information about participation in each of the universal service support mechanisms and administrative action intended to prevent waste, fraud, and abuse." Appendix A contains USAC's most recent audited statement of financial position as of December 31, 2000. This annual report covers the period from January 1, 2001 through December 31, 2001. As required by law, USAC has consulted with the FCC concerning the scope and content of this annual report.

Utilization – USAC provides universal service support through four mechanisms: High Cost, Low Income, Rural Health Care, and Schools and Libraries. The High Cost Support Mechanism provides support to telephone companies that serve high cost areas, thereby making phone service affordable for the residents of these regions. The Low Income Support Mechanism assists low-income customers by helping to pay for monthly telephone charges as well as connection charges to initiate service. The Rural Health Care Support Mechanism allows rural health care providers to pay rates for telecommunications services similar to those of their urban counterparts, making telehealth services affordable. The Schools and Libraries Support Mechanism, popularly known as the "E-Rate," provides discounted Internet access, internal connections, and telecommunications services to schools and libraries.



USAC disburses funds to eligible service providers on a monthly basis for the High Cost and Low Income Support Mechanisms and, as appropriate, invoices are submitted by service providers and applicants, and approved for the Rural Health Care and Schools and Libraries Support Mechanisms. USAC disburses on average over \$400 million monthly to approximately 5,000 service providers. Appendix B provides funding information for various types of service providers.

Synergies – USAC outsources a portion of the administrative functions. This provides synergies and efficiencies for the organization. USAC is responsible for billing and collecting contributions to the universal service support mechanisms, and for disbursing universal service support funds to all eligible entities in accordance with FCC rules. In 2001, USAC billed and collected approximately \$5.3 billion from more than 2,300 service providers, and USAC distributed approximately \$4.7 billion to approximately 5,500 service providers. Funds collected in excess of disbursements are held to meet future obligations or are used to reduce future collections.

USAC contracted with the National Exchange Carrier Association, Inc (NECA) and PricewaterhouseCoopers LLP for support services necessary for billing, collection and disbursement of universal service funds during the period covered by this report. The contractors performed the tasks associated with the contracts in a satisfactory manner.

Accomplishments – These universal service support mechanisms reach nearly all communities in the United States. In the three years since its creation, USAC has distributed more than \$15 billion in support, and nearly \$4.7 billion in the year 2001 alone.

USAC constantly looks to reduce its administrative expenses. In 2001, over 99 cents of every dollar collected was used to provide support for applicants to connect to the telecommunications network. Competitive bidding

on all major contracts, regular audits, and strict management controls of expenditures have resulted in an administrative expense to programs ratio that is extremely favorable. The FCC has approved USAC's administrative expenses as submitted for each quarter of 2001: \$11,825,100 for the first, \$10,496,900 for the second, \$7,959,000 for the third, and \$11,090,400 for the fourth. USAC will report audited actual expenditures to the Commission and will make adjustments as directed.

USAC continues to experience a significant number of bankruptcy filings from telecommunications companies that are required to contribute to the Universal Service Fund, and actively pursues outstanding post-bankrupt USF balances. USAC monitors bankruptcy activity and participates in bankruptcy proceedings to the extent appropriate to protect the interest of the USF in such proceedings.

Delinquent accounts receivable represent 0.37 percent of the \$18 billion billed to carriers since 1998. USAC has a \$69.6 million delinquent accounts receivable outstanding balance as of December 31, 2001. A significant portion of this amount is associated with companies that have filed for bankruptcy court protection.

Compliance – USAC works diligently to ensure that all carriers remain current in their contribution payments and monitors carriers to ensure compliance with filing and contribution requirements. USAC also works closely with the FCC to address carriers that are delinquent in their revenue reporting or contribution requirements. Among other activities, USAC provides the documentation required to support the FCC in its enforcement and compliance efforts.

FCC regulations provide that contributions to the universal service support mechanisms shall be based on contributors' end-user telecommunications revenues and a contribution factor determined quarterly by the Commission based on information submitted by USAC. USAC collects revenue data four times each year from approximately 5,000 service providers to meet this requirement, and in April for the entire previous year. As required by FCC regulations, USAC collects, verifies, and summarizes the interstate and international industry revenue reported and includes the information in its quarterly filings with the FCC.

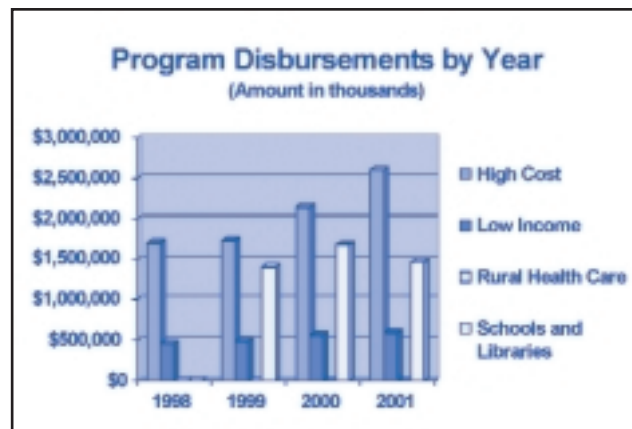
The Commission bases the quarterly universal service contribution factor on the ratio of total projected budgets

(including demand and administrative costs) for the universal service support mechanisms to total interstate and international end-user telecommunications revenues. USAC files its projected quarterly budgets 60 days before the first day of a quarter, in total and specifically for each support mechanism. Current projections exceed \$1.3 billion per quarter. Current end-user telecommunications revenues exceed \$20 billion per quarter.

The Commission reviews USAC's report and can approve, modify, or reject USAC's projected funding demand. The FCC establishes a contribution factor that USAC uses to calculate individual carriers' invoices, which are derived from applying the factor to total end-user interstate and international telecommunications revenues.

USAC and the Universal Service Fund are closely scrutinized by independent auditors. Recent audits have confirmed that administrative controls are adequate to ensure that transactions are executed consistent with the purposes authorized and are recorded in accordance with appropriate accounting standards; assets are properly acquired and used, safeguarded to deter theft, accidental loss or unauthorized disposition, and fraud; and performance measurement information is adequately supported. The 2000 audited financial statements are included in Appendix A. The audit for 2001 is in process and will be included in next year's annual report.

USAC performs audits of the carriers submitting revenue information to ensure that carriers are accurately reporting revenues as required by FCC rule. This provides assurance that the revenue information that USAC submits to the FCC on a quarterly basis can be relied on for calculating the contribution factor. It also ensures that each carrier is billed for and contributes its appropriate share to the Universal Service Fund.



High Cost Support Mechanism

In the Telecommunications Act of 1996, Congress directed the FCC to establish specific, predictable, and sufficient mechanisms to preserve and advance universal service. In addition, Congress articulated a national goal that consumers in all regions of the nation, including rural, insular, and high cost areas, should have access to telecommunications services at rates that are reasonably comparable to rates charged for similar services in urban areas. The result is that recipients of telecommunications services in rural communities pay rates comparable to their more urban neighbors. The High Cost Support Mechanism is designed to respond to that mandate.

In 2001, there were five components to the High Cost Support Mechanism:

- High Cost Loop Support provides intrastate support for the cost of the "last mile" of connection, primarily for rural companies in service areas where the cost to provide this service exceeds 115 percent of the national average.
- Local Switching Support provides interstate assistance which helps cover the high fixed switching costs for companies that serve fewer than 50,000 customers.
- Long Term Support helps offset the interstate access charges for rate-of-return regulated carriers.
- Forward-looking support for non-rural carriers provides intrastate support for the "last mile" of connection in service areas where the cost to provide this service in the state exceeds 135 percent of the national average
- Interstate Access Support helps offset interstate access charges for price cap carriers.

As the administrator of the High Cost Support Mechanism, USAC is responsible for determining the amount of support that can be made available to eligible service providers as consistent with FCC rules. In 1998 and again in 1999, USAC distributed \$1.7 billion annually to companies that serve high cost

areas. In 2000, USAC distributed more than \$2.2 billion, and in 2001, more than \$2.6 billion. Appendix B provides funding information by state and component.

In November 2001, the FCC created a sixth component of the High Cost Support Mechanism, which will be implemented on July 1, 2002. Interstate Common Line Support will help offset interstate access charges for rate-of-return carriers.

Utilization – Service providers must be designated as eligible telecommunications carriers, or ETCs, in order to receive high cost support. ETCs of a variety of types and sizes, including incumbent local exchange carriers, competitive ETCs, wireless carriers, telephone cooperatives, and independent telephone companies participate in the High Cost Support Mechanism. In addition to the approximately 1,250 incumbent carriers receiving support for servicing high cost areas, approximately 18 competitive carriers received support in 2001 through the High Cost Support Mechanism. This represents an increase of 15 competitive carriers receiving support for serving high cost areas, which suggests that consumers living in less densely populated areas of the nation are enjoying the benefits of competition

The breakdown of rural and non-rural high cost support for 2001 by program component is as follows:

- Rural company support - \$1.805 billion
 - o High Cost Loop - \$907 million
 - o Interstate Access Support - \$111 million
 - o Local Switching Support - \$399 million
 - o Long Term Support - \$388 million
- Non-rural company support - \$797 million
 - o Hold Harmless - \$22 million
 - o Forward-Looking Support - \$206 million
 - o Interstate Access Support - \$465 million
 - o Long Term Support - \$104 million

Hopper Telephone Company

Hopper Telephone Company serves 4,200 customers spread across two counties in central Alabama. Mike Weaver, president of Hopper's parent company, Otelco, described the region as "very rural," a 90-minute drive from Birmingham or Huntsville. The geographical distance from more densely populated areas presented an obstacle not only to providing affordable telephone service, but also in providing the benefits associated with up-to-date telephone lines, such as Internet access.

"High cost support is a substantial part of our revenue," he said. Without it, his customers would have to pay rates far higher than the rest of the country for the most basic of telephone service.

"Our customers didn't have all of the call features that were available in metropolitan areas, like Caller ID, call waiting, or conference calling," said Weaver. He explained that the outdated facilities that Hopper once had prevented customers from obtaining such services, or even Internet access. "We also have high-speed access provided to schools in our territories, which wouldn't have been available without these upgrades. [High Cost] money allowed us to upgrade our facilities, which gave us the capabilities to make such services available."

Some of the largest benefits of the High Cost Support Mechanism are visible in these indirect results. Weaver explained that the upgrade of Hopper's switching facilities also allowed the company to shorten its loop links, a necessary upgrade in order to provide broadband and dial-up Internet access. "We now provide DSL service to a small library in Walnut Grove, and this allows them to have access to other libraries and sources of information in the country that they wouldn't otherwise have access to. There are 2,000 books in the whole library. Small towns don't have many resources, and this access is particularly important."

Without High Cost support, such access to information would have been impossible. "It's a no-brainer," said Weaver. "We couldn't have done it. The money would not have been there."

Synergies – USAC successfully managed the implementation of the state certification requirement for rural carriers, which resulted from the FCC's adoption of the Rural Task Force's recommendations for reform of high cost for rural carriers. Carriers that were not certified will be ineligible for high cost support in the first quarter of 2002 and, unless certified, will remain ineligible for any high cost support in 2002. USAC worked closely with state commissions, the National Association of Regulatory Utility Commissioners, and various groups representing the interests of rural carriers to ensure that all carriers were certified. With few exceptions, all rural carriers eligible for high cost support will receive the support for which they qualify in the first quarter of 2002.

Accomplishments – The FCC adopted reforms to high cost support for rural carriers after receiving recommendations from the Rural Task Force and the Federal-State Joint Board on Universal Service. Recognizing that rural carriers face diverse circumstances and that a "one size fits all" approach would not be appropriate in determining universal service support for rural carriers, the FCC decided to modify the existing system over five years. The FCC stated its intent to develop a long-term plan that better targets support to all carriers serving high cost areas, while at the same time recognizing the significant differences among rural carriers, and between rural and non-rural carriers. In the meantime, rural carriers will receive additional high cost support to maintain local service rates that are reasonably comparable to the rates charged in more densely populated areas.

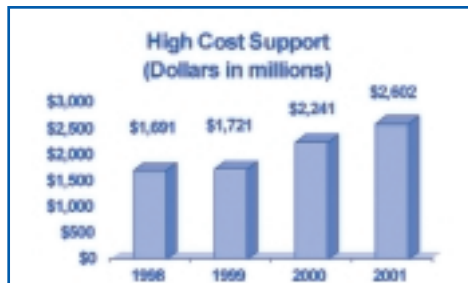
USAC successfully implemented certain other components of rural high cost reform, effective July 1, 2001. For example, consistent with revised FCC rules, rural carriers received an additional \$75 million in high cost support in the second half of 2001. USAC continues to implement additional reforms, including the "safety valve" and "safety net" provisions. The safety valve mechanism provides support to rural carriers that make substantial investment in rural

infrastructure after acquiring exchanges. The safety net mechanism provides high cost support to rural carriers that make significant investment in rural infrastructure in years in which the high cost loop mechanism is capped. Both of these mechanisms are designed to provide rural carriers with the appropriate incentives to invest in the network infrastructure serving their communities.

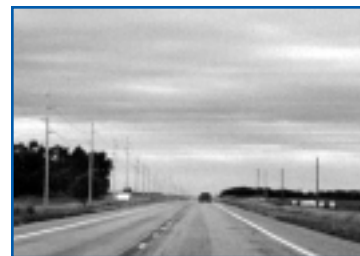
USAC significantly revised its website in 2001 to include much more substantive information about the High Cost Support Mechanism. The website now contains information on carrier eligibility requirements, filing requirements, the process for obtaining eligible telecommunications carrier status, and additional information necessary for carriers new to the mechanism to begin participating in the program. In addition, maps submitted by price cap carriers consistent with the FCC's rules governing the Interstate Access Support Mechanism are now posted on the website.

Compliance – In order to prevent waste, fraud, and abuse, the High Cost Support Mechanism is subjected to annual audits of its operations, procedures, and financial operations by an independent accounting firm. In addition, the cost information submitted by companies seeking high cost support is audited to ensure accuracy.

USAC contracted with the National Exchange Carrier Association (NECA) and Rhoads and Sinon, LLC, for support services necessary to administer the High Cost Support Mechanism during the period covered by this report. The contractors performed the tasks pursuant to the contract in a fully satisfactory manner.



The High Cost Support Mechanism allows residents of remote or rural areas of the United States such as northwest Alaska (above) or central Nebraska (below) to obtain telecommunications services at the rates and quality comparable to those of urban areas.



"Small towns don't have many resources, and this access is particularly important."

Mike Weaver
President
Otelco Telephone Company

Low Income Support Mechanism

The Low Income Support Mechanism is a telecommunications discount program authorized by Congress under the Telecommunications Act of 1996. Telephone service is considered a necessity for modern life, yet the cost of activating and maintaining such service may be prohibitively expensive for low income subscribers. Through Lifeline, Link Up, and Toll Limitation Service, the Low Income Support Mechanism enables these customers to establish and maintain telephone service through discounts on services from local telephone companies.

The support mechanism is comprised of three components:

Lifeline support reimburses local service providers for providing discounted telephone service to eligible low income consumers. Lifeline support enables low income consumers to save at least \$5.25 per month and up to \$8.50 per month on their local telephone bills.

In addition, enhanced Lifeline support enables low income consumers living on tribal reservations to save up to \$33.50 per month on their local telephone bills. Consumers living either on or off reservations may also qualify for an additional \$3.50 per month in matching support from their state, tribe, or carrier. Lifeline customers living on reservations must pay at least \$1.00 per month for local telephone service.

Link Up support reimburses local service providers for providing discounted connection charges to eligible low income consumers. Customers qualifying for Link Up support are eligible to save up to 50 percent on installation fees, not to exceed \$30.

In addition, enhanced Link Up support enables low income consumers living on tribal reservations to save up to \$100 on any connection charges the service provider customarily assesses to connect subscribers to the network. Eligible connection charges include facilities-based charges associated with line extensions or the construction of

facilities needed to initiate service. Discounts do not apply, however, to charges for facilities or equipment that fall on the customer side of the demarcation point.

Toll Limitation Service support compensates local service providers for the costs incurred in establishing toll limitation service for low income subscribers. Toll limitation includes toll blocking, which prevents the placement of any long-distance calls, and toll control, which limits the amount of long-distance calls to a pre-set amount selected by the consumer. Service providers are required to offer toll limitation service at no cost to low income subscribers.

Qualifications for participation in the Low Income Support Mechanism vary by state; local telephone companies and state commissions can provide information on the individual states' requirements. In states that do not provide additional state support, a consumer must participate in one of the following programs in order to qualify for support: Medicaid, food stamp programs, Supplemental Security Income, federal public housing assistance, or the Low Income Home Energy Assistance Program. Consumers living on reservations may participate in one of the following additional programs in order to qualify for support: Bureau of Indian Affairs general assistance, Temporary Assistance for Needy Families, Head Start (if income-eligible), or the National School Lunch Program.

Utilization – Since the expansion of the Low Income Support Mechanism in 1998 to include a baseline amount of support to companies in all states, more than 1,500 telephone companies in all 50 states, the United States territories, and the District of Columbia have provided assistance to more than 5 million consumers. Support to low income consumers totaled nearly \$381 million in 1998, almost \$488 million in 1999, more than \$553 million in 2000, and more than \$584 million in 2001. Appendix B provides funding information by state and component.

The enhanced Lifeline and Link Up

Western Wireless

In 2000, the FCC expanded the Low Income Support Mechanism to provide additional support to customers living on Native American reservations.

The Oglala Lakota, the largest tribal group in the Lakota nation, live on the Pine Ridge reservation in South Dakota – an area that represents the poorest county in the United States. With 30,000 people living on the reservation and 85 percent unemployment, the Low Income Support Mechanism represents an opportunity to gain basic telephone service for many people. Suzie Rao, an attorney for Western Wireless, a company serving the Pine Ridge Reservation, explained that bringing service to the reservation is a work in progress. “Forty-two percent of the tribe is completely without telephone service,” she said. “But they’re getting closer to national subscribership rates.”

Western Wireless is a wireless telephone company serving rural areas over 19 states. Roughly 30 percent of its customers receive Low Income support. “Some of our customers cannot receive landline telephone service, for various reasons – some live in an area where there is no landline service available, while other can’t pass the credit test or afford the deposit needed to obtain landline service,” said Rao. Western Wireless, like many other companies, strives to make its customers aware of Low Income support through advertising of the programs.

The FCC’s Tribal Lands Order expanded Low Income support for eligible low-income consumers on reservations, allowing basic service to be available for as little as \$1 per month. This represents a substantial decrease from the standard rate in South Dakota, which is \$30.25 per month. For the Oglala Lakota, where the majority of the population live in poverty, the Low Income Support Mechanism represents a significant opportunity – a chance to receive affordable basic telephone service for the first time.

“Forty-two percent of the tribe is completely without telephone service but they’re getting closer to national subscribership rates.”

Suzie Rao
Attorney
Western Wireless

mechanisms have provided tangible benefits to low income consumers living on reservations. Since the enhanced mechanisms were implemented in October of 2000, more than 25,000 low income consumers living on reservations have initiated telephone service with the assistance of enhanced Link Up. In addition, more than 71,000 low income consumers living on reservations have received discounted local telephone service through enhanced Lifeline.

With regard to carrier participation in the Low Income Support Mechanism, in addition to the approximately 1,250 incumbent carriers providing discounted services to low income consumers, approximately 18 competitive carriers were reimbursed in 2001 through the Low Income Support Mechanism. This represents an increase of 8 competitive carriers providing discounted services to eligible low income consumers.

Synergies – The ongoing task of locating and identifying participants for the Low Income Support Mechanism remains a high priority for USAC. Data comparing the population eligible for low income support with the percentage of households actually receiving that support bolsters the conclusion that much of the eligible population is not currently receiving the benefits of the Low Income Support Mechanism. USAC has worked closely with state public utility commissions, the National Association of Regulatory Commissioners, and tribal organizations to target our outreach efforts. USAC has also provided information at various seminars and conferences, including conferences targeted at Native American communities, in an effort to inform interested parties of the enhanced programs for low income consumers living on reservations. We will continue to work with a wide variety of organizations to expand our outreach efforts in 2002.

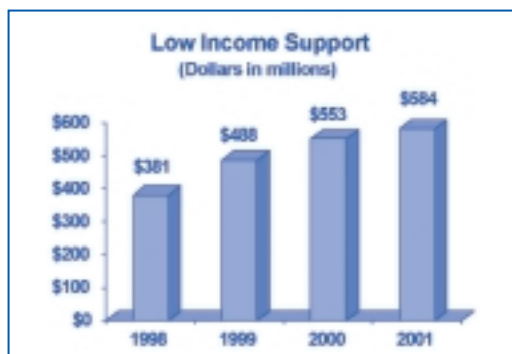
Accomplishments – USAC's website was substantially revised in 2001 to include much more in-depth

information about the Low Income Support Mechanism. The website now contains information on consumer and carrier eligibility and filing requirements, and information necessary for carriers new to the mechanism to begin participating. USAC will continue to expand the low income website to include, among other things, information directed toward consumers.

2001 also marked the first full year that USAC used the revised FCC Form 497 to collect reimbursement data from carriers providing discounted services to low income consumers. This revised form has made the collection of data and processing of support payments much more efficient for both USAC and the carriers participating in the Low Income Support Mechanism.

Compliance – In order to prevent waste, fraud, and abuse, USAC reviews all data submitted by carriers. Further, the Low Income Support Mechanism is subjected to audits of its procedures and financial operations by an independent accounting firm each year. In addition, a beneficiary audit, or an audit of carriers participating in the mechanism, is conducted every year. To date, only minor calculation errors have been discovered by these reviews, which have all been corrected.

USAC contracted with NECA for support services necessary to administer the Low Income Support Mechanism during the period covered by this report. The contractor performed the tasks associated with this contract in a fully satisfactory manner.



Duo County, Kentucky

The Duo County Telephone Cooperative serves a four county area in southern central Kentucky, with 13,000 subscribers. The region is primarily rural and agricultural, and like many other areas similarly reliant upon farming, has struggled in recent years. Over half of the children qualify for the National School Lunch Program. Daryl Hammond, Controller for the cooperative, described it as "an area that experiences challenges in terms of economic opportunities."

Requirements to participate in the Low Income Support Mechanism vary from state to state, and Kentucky requires that the recipient also receives some form of public assistance. For Duo County, this represents about 1,200 customers, or nine percent of its subscriber base.

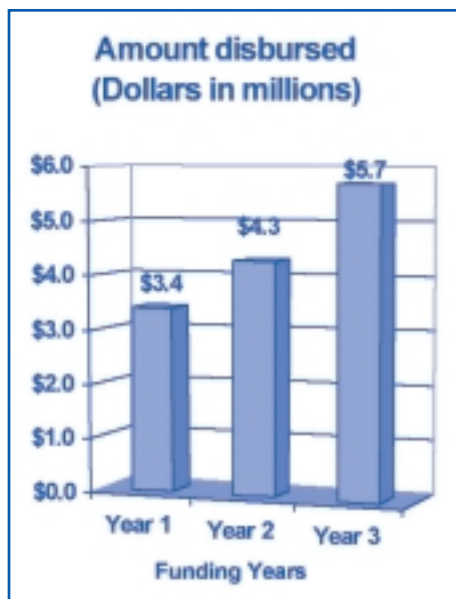
"Low Income support has been instrumental in getting those customers on the network, but also with providing those customers with the opportunity to utilize telecommunications services to raise productivity, their standard of living," said Hammond.

The Lifeline program provides a \$10.50 per month discount to qualified customers, reducing the monthly bill from \$15 per month to \$4.50. The monthly savings can make a large difference to people on fixed incomes. To those with bad credit, the Low Income Support Mechanism enables them to obtain toll blocking on their line at no extra charge, allowing them basic local service and a possible foothold for restoring their credit.

Hammond pointed out that some of the largest benefits of the program lie in the indirect results of the support. "This program removes some of the barriers to access to information," he said. By reducing the cost of basic voice service through the Lifeline program, some customers are able to use the money to purchase Internet services and gain the benefits of being connected to the information superhighway. Far from merely enabling customers to obtain telephone service, the Low Income Support Mechanism has had farther reaching positive effects for its beneficiaries.

Rural Health Care Support Mechanism

The Rural Health Care Support Mechanism was created in order to ensure that rural health care providers pay no more than their urban counterparts for telecommunications services necessary for providing health care. In order to participate in the Rural Health Care Support Mechanism, administered by USAC's Rural Health Care Division, a health care provider must be located in a rural area and be a public or not-for-profit community health



center, local health department or agency, rural health care clinic, community mental health center, not-for-profit hospital, or a post-secondary educational institution offering health care instruction.

Utilization — In Funding Year 3 (July 1, 2000 to June 30, 2001), committed funding increased to over \$10 million, up from nearly \$7.1 million committed in the previous funding year. Funding Year 4 (July 1, 2001 to June 30, 2002) promises to continue this trend of increased funding, with a projected \$14 million committed in support.

As of December 31, 2001, \$5.7 million was disbursed for Funding Year 3 only. A total of \$7.9 million was disbursed in the year 2001

across multiple funding years. Appendix B provides information on funding per state.

The number of participating entities continues to increase, with 738 rural health care providers receiving support in Funding Year 3, up from 632 in Funding Year 2. This trend of increased participation and funding is attributable to multiple factors. A number of changes to the program since its inception have enabled applicants to obtain more funding. Additionally, the results of USAC's continuous outreach efforts can be seen in the higher number of health care providers applying for funding. Finally, as the Rural Health Care Support Mechanism goes through its fourth funding year, those who have participated and applied for multiple years become more familiar with the program and its process, increasing their chances of gaining funding.

Funds from the RHC Support Mechanism support monthly charges for all telecommunications services, installation charges, and toll charges paid to connect to the Internet. Most commonly supported are T-1 lines or frame relay technology necessary to connect the health care provider to the Internet or to a group of health care providers interconnected to form a telehealth network. The services are used in a variety of ways, including forwarding images such as x-rays and digital photographs to health care professionals, videoconferencing that allows a doctor to treat a patient many miles away, and even cameras that allow a doctor to peer into the ears or throat of a sick child.

"[The United States] has more in-depth medical experience than any other country," said Dr. Tom Nesbitt on the PBS television show Springboard. Nesbitt is the assistant dean of outreach, telemedicine, and continuing medical education at University of California-Davis Health System. "But it's maldistributed. What telemedicine allows you to do is to redistribute that experience to places where that experience is needed."

Health care providers in rural areas face obstacles such as a remote patient base, scarcity of medical professionals, limited access to a wide range of medically necessary

The Maniilaq Association

The Maniilaq Association provides health, social, and tribal services to the residents of rural northwest Alaska. The town of Kotzebue, with a population of 3,082 people, serves as the regional hub for the 11 remote village clinics scattered around the region. These villages, which range in size from tiny Kobuk with 109 people, to Point Hope with a population just over 1,000, face the challenge of providing medical care to a region with very few doctors, and where the main mode of transportation is by airplane.

Because they are located in such remote areas, the clinics' connections to the network are often through satellites rather than land lines. This telehealth network is usually the only available access to physicians, and serves as the eyes and ears for the doctors to help treat patients at the other end of the line. The clinics are staffed by two to five clinical health practitioners, or CHPs, who have undergone EMT training.

The network is utilized in two ways — "store and forward," in which digital pictures are taken of dermatology or ear, nose, and throat cases and sent to a doctor in Kotzebue, or through audio-visual conferencing equipment. Previously, the only access to treatment from a doctor was either through medivac, which required sending a plane to the remote location and transporting the patient to Kotzebue, or more commonly, through ham radio or telephone. When a patient with a rash arrived, a CHP would attempt to describe the ailment to the doctor. Now, a doctor in Kotzebue can directly control a camera in any of the sites to view the patient. In a trauma situation, the doctor can observe the situation and instruct the CHPs on appropriate treatment.

Eugene Smith, the CIO of Maniilaq and the mayor of Kotzebue, described examples of the success of the telehealth network, including a "telebaby," born in the village of Noorvik while the doctor, 47 miles away, walked the CHPs through delivery procedures. With the introduction of videoconferencing technology, doctors have been able to provide more effective treatment and reduced the number of medivacs from villages.

"It's allowed us to go from the Stone Age to where we are now," said Smith of the telemedicine network. "It gives us ... a nice feeling that we're improving the field."

services or specialty care, increased costs for such services due to geographic location, and limited funding. The Rural Health Care Support Mechanism seeks to offset some of these added challenges by paying for the additional costs of telecommunications services in a rural area, thereby enabling the health care provider to pay no more for its services than would an urban health care provider. Universal service support works toward making health care affordable, regardless of its geographical location.

While greatly increasing the quality and range of care available, telemedicine services can add up to a large amount of money for small rural clinics to pay. Some regional consortia have formed telehealth networks to better serve a widespread group of patients and consolidate their services. Since these consortia already face limited funding, the financial resources required to plan, build, and maintain such a network can be prohibitive, while the lack of a network may leave gaping holes in the availability of patient care.

This is where USAC can help. Financial support from USAC allows rural health care providers to establish and maintain the

telecommunications networks that help them treat their patients.

"In order to allow just 10 small rural facilities to participate in telemedicine, our telephone bill was \$13,000 a month, which is a lot of money even for the largest organizations, let alone these small rural clinics," said Speranza Avram on Springboard. Avram is the executive director of the regional telehealth system for the Northern Sierra Rural Health Network, located in northern California. "We're able to afford to pay that because of the Universal Service Fund, [which] provides approximately 83 percent of the cost of that service."

Synergies – USAC works closely with stakeholders to achieve synergies. We conduct outreach in a variety of ways. First, USAC conducts conference calls on a regular basis with applicants and service providers, and as needed with specific constituent groups. Second, USAC also attends various national association meetings to provide information and answer programmatic questions. Third, USAC staff regularly sends out information to inform applicants of the application period, and to provide helpful tips to assist in the process.

"In order to allow just 10 small rural facilities to participate in telemedicine, our telephone bill was \$13,000 a month ... we're able to afford to pay that because of the Universal Service Fund."

Speranza Avram
Executive Director
Northern Sierra
Rural Health
Network



The Rural Health Care Support Mechanism supports telecommunications services to facilitate health care in remote places such as this medical clinic in Kiana, Alaska.

Finally, USAC maintains a comprehensive website, containing timely information regarding all aspects of the support mechanism, including a toll-free number for applicants and service providers to call with questions.

Because applicants and service providers are spread across the country and U.S. territories, differences in time zones can lead to potential difficulties in obtaining help with the application process. To address those needs, the RHC Customer Service Support Center is available to take applicant and service provider telephone calls 12 hours a day, five days a week. These extended hours ensure that help is available for as much of the day as possible to serve those in other time zones.

Service providers have been and continue to be active and valuable participants in the support mechanism. They play a number of critical roles. First, the telecommunications service providers respond to health care providers' requests for service. Their response can be as a result of the health care providers' posted FCC Form 465 or a direct call from the health care provider. Second, the telecommunications service providers are responsible for completing the FCC Form 468 and forwarding it to the health care provider to assist them in completing their application for filing with USAC. Third, the telecommunications service providers provide the discount on the health care provider's bill, or issuing a check if payment has already been received from the health care provider. Finally, the service providers play an active role in reaching potential applicants through their own outreach efforts. All of these roles played by service providers help to ensure that the application is complete and that the health care provider receives the benefit of the Rural Health Care Support Mechanism. Over 200 telecommunications companies participated in the program in 2001 by providing services at supported rates and completing FCC Form 468 for applicants .

Accomplishments – USAC implemented electronic certification for FCC Form 465, the initial form used in the application process. Qualified

applicants now have the option of submitting their FCC Form 465 online, without having to print, sign, and mail the form. Instead, an electronically submitted form can be posted immediately on the USAC website to begin its 28-day competitive bidding period. This represents a dramatic increase in convenience and efficiency for applicants and service providers as well as for USAC, eliminating the time required for the form to be sent through the mail. Since a health care provider is eligible for support once the bidding period is over, posting the FCC Form 465 sooner increases the number of days of support for which the health care provider is eligible.

Another new feature on the USAC website allows applicants to check the status of their FCC Form 466/468 packets filed for the funding year. Applicants can log on to the website and determine whether their packet has already been reviewed, is being reviewed, or requires additional information. This information allows applicants to monitor - and thus reduce concerns about - the status of their applications.

The application "window," or period during which applicants can begin submitting their applications, opened in March 2001 for Funding Year 4 (July 1, 2001 to June 30, 2002). This provided a period of three months for applicants to apply to the program in order to receive funding for the full Funding Year. For Funding Year 5, USAC will open the application window in January 2002, two months earlier than the previous window opening, thus providing even more time for health care providers to apply and receive a full year's funding.

Applications to the program continue to increase. Thanks to the collaboration of service providers, applicants, and USAC, larger numbers of applications have been submitted earlier in the year. USAC has been able to process the larger volume at a faster pace than before, with the result of applicants receiving their reimbursements from service providers weeks earlier than the previous year.

NARBHA

The town of St. John's in northern Arizona, population 3,269, is 150 miles from Flagstaff - a long and daunting drive in even the best of times. When a person is mentally ill and in need of regular treatment, such a distance can be insurmountable. The Northern Arizona Regional Behavioral Health Authority, or NARBHA, operates contracts with local community mental health clinics scattered throughout the region, providing mental health services to qualified low-income individuals and families residing in these remote, medically underserved locations. Catherine Romeo-Wolff, Telemedicine Program Manager, described the difficulties of serving such a widespread patient base with such diverse needs.

"What this program has done is it allowed us to provide these mental health services, such as drug and alcohol rehab, children's services, general mental health, and treatment of serious mental illness, to these rural communities. We've established T-1 lines out to these mental health clinics with a wide-video connection, so that patients can receive a wide range of services...we have psychiatrists providing services from urban areas, social workers, caseworkers providing services that would otherwise be lacking in these rural communities." In fact, NARBHA was named one of the top ten telemedicine programs in the country by Telehealth magazine for three years in a row.

"These clinics are operating on a shoestring," Romeo-Wolff explained, citing recent state cuts for mental health care. Staffing is also a consistent concern, with a severe shortage of college-trained mental health personnel and the funds to pay for them. NARBHA must strike "a delicate balance" between the services it can provide at its contracted clinics and the ability to pay for them. The Rural Health Care Support Mechanism has funded a significant portion of the teleconnection network, and the range of face-to-face clinical services available has expanded greatly with the network in place.

"There are still communities in desperate need of help," explained Romeo-Wolff. To illustrate the difference between clinics connected to the network and those that are not, she cited the case of the tiny town of Fredonia, near the Utah/Arizona border, about a third the size of St. John's. The only available access to medical care is a visit from a physician who drives to Fredonia from the city once a month. "We're on an active campaign to get services out to these communities," she said. "There's still a lot to be done."

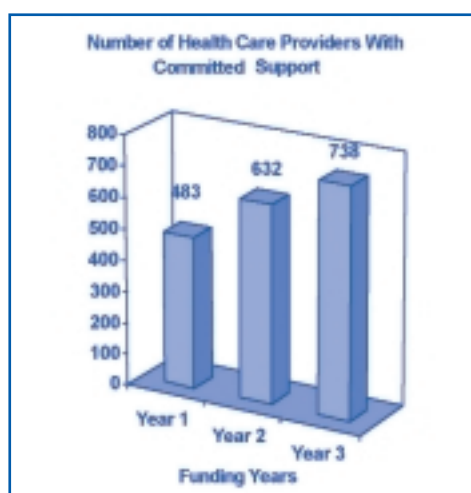
Compliance – A cornerstone of the Rural Health Care Support Mechanism is compliance with applicable law. USAC's fundamental job is to administer the program to ensure the highest level of compliance with FCC regulations and the Telecommunications Act.

As part of USAC's ongoing compliance efforts, applications for discounts are carefully reviewed to ensure the discounts are for eligible services to be used for eligible purposes by eligible entities. Often, USAC must reach out to applicants for more information during these reviews to help ensure program rule compliance. More in-depth reviews are conducted on some applicants to ensure that the certifications applicants make on the application forms are accurate. USAC is, in turn, audited to ensure that it is carefully following its program integrity assurance review procedures.

In order to avoid waste, fraud, and abuse, USAC has a vigorous program integrity assurance process for handling requests for funding and invoice review. Independent accounting firms conducted audits of the operations, procedures, and financial operations, and USAC conducts annual audits

of beneficiaries in order to ensure applicant compliance with program rules.

In order to process applications, provide customer service, and develop and maintain the website, USAC has, through a competitive bidding process, contracted with NECA to provide these services. NECA has performed the tasks associated with this contract in a fully satisfactory manner.



The telehealth networks funded by the Rural Health Care Support Mechanism allow for videoconferencing between medical professionals miles away.

“What this program has done is it allowed us to provide these mental health services...to these rural communities.”

Catherine Romeo-Wolff
Telemedicine
Program Manager
North Arizona
Regional Behavioral
Health Authority

Schools and Libraries Support Mechanism

The Schools and Libraries Support Mechanism, popularly known as the "E-Rate," was established by Congress to help make advanced telecommunications affordable for the nation's K-12 schools and libraries. It provides discounts on the costs of eligible telecommunications services, Internet access, and internal connections ranging from 20 percent to 90 percent, with the highest discounts going to the schools and libraries serving the most disadvantaged populations.

For applications received within the funding request filing window, funds are allocated for all approved requests for telecommunications services and Internet access as a first priority. Remaining funds are to be allocated for internal connections as a second priority, beginning with the highest discount levels and moving downward. Estimated demand for Priority One funds in Funding Year 4 reached \$1.733 billion. For Priority Two funds, which support internal connections,

estimated demand reached \$3.462 billion.

Since the inception of the program in September 1997 through December 31, 2001, USAC has disbursed \$4.5 billion across all funding years to 7,837 service providers on behalf of 81,522 schools and 10,069 libraries.

These discounts went to schools and libraries in all 50 states, the District of Columbia, and U.S. territories.

Approximately 86 percent of the nation's public schools, 21 percent of private schools (including Catholic diocesan schools), and 65 percent of libraries have received discounted services.

The majority of E-Rate funds over the first four funding years went to the most disadvantaged schools and libraries, where over 50 percent of the students in the district qualify for the National School Lunch Program. According to the key findings of a U.S. Department of Education study conducted in 1999, "E-Rate targeting works: the neediest schools are getting the most. The poorest schools (greater than 50 percent of students eligible for the National School Lunch Program) represent only 25 percent of public school students but

Discount "bands" for applicants

Percentage of Students that qualify for the school lunch program	Discount for Urban Districts	Discount for Rural Districts
Less than 1%	20%	25%
1% to 19%	40%	50%
20% to 34%	50%	60%
35% to 49%	60%	70%
50% to 74%	80%	80%
75% to 100%	90%	90%

Schools and libraries must have approved technology plans setting out how these technologies will be used to support learning. In addition, applicants must have secured access to the resources necessary to make effective use of the discounts, including hardware, software, and teacher or librarian training.

Utilization – The mechanism's fourth funding year began in 2001. Applicants requested a total of \$5.195 billion in 37,188 applications for the year, far exceeding the funding cap of \$2.25 billion. Funding requests are prioritized according to the type of support requested as well as the discount band assigned to the school or library. Schools or districts with the highest percentages of children eligible for the National School Lunch Program administered by the United State Department of Agriculture qualify for the highest discount bands.

New York Public Library

On the night of September 11, 2001, the staff of the New York Public Library system had a decision to make: whether or not to open the libraries the next day, in light of the attacks upon New York City and Washington, D.C.

"We decided that one of the things that libraries were there for was to help people connect with the information they needed," said Mary Kay Conwell, the Director of Branch Libraries for NYPL. "So we opened all of the branches we could."

When Conwell arrived at the Mid-Manhattan Library on 40th Street and 5th Avenue the next morning, she found a line of over 200 people waiting to enter, desperate to get in touch with friends, family, and loved ones. The library was their only access to a computer. "Many people rely on libraries for Internet and e-mail access," she explained. On Staten Island, telecommunications services such as Internet access were unavailable due to the attacks. "The disappointment was enormous," she said.

Millions of dollars from the E-Rate had helped build the telecommunications infrastructure and Internet access for the NYPL's 85 branches across the Bronx, Manhattan, and Staten Island. Fourteen million people used the libraries in 2000, and Conwell estimated that the number would remain constant in 2001, despite the temporary closure of multiple branches since September 11.

In light of recent events, Conwell pointed out that the Internet has demonstrated its status as a necessary resource in terms of communication as well as information. "So much of what we're dealing with now is new, and you don't have a lot of books to help people know what's going on, so we use the Internet to educate," she said. In addition, the library staff has created a web page devoted to community information and resources, including emergency information and recommended reading for children of various age groups to help them cope with the tragedy.

In helping people "connect with information" in the present day, libraries have had to expand beyond just the printed word. "It would have been a very different world for us if we'd only had to rely on books," said Conwell. "We've also been able to continue, and advertise on our web page, the kinds of programs we've always done, such as poetry readings and music, which offer the distraction and enrichment people need at a time like this, as well as programs and resources to help people cope with grief and tragedy. We're very proud of what we've been able to do."

receive 60 percent of funds."

Statistics show that the Schools and Libraries Support Mechanism has made a difference in the nation's schools. The Department of Education's National Center for Education Statistics (NCES) tracks the extent of Internet access in America's public schools. In May 2001, NCES released "Internet Access in U.S. Public Schools and Classrooms: 1994 – 2000" (NCES 2001-071, May 2001). The study shows nationwide growth in Internet access, and demonstrates that the E-Rate is connecting classrooms. From the fall of 1997, before Schools and Libraries discounts were available, the percent of public schools in America with Internet access grew from 78 percent to 98 percent in 2000, but among the most disadvantaged schools – those with 75 percent or more of their students eligible for the National School Lunch Program – the increase was from 62 percent to 94 percent. In terms of classrooms, 77 percent had Internet access in 2000, compared to 27 percent in 1997, and among public schools with 75 percent or more of the students eligible for the national school lunch program, 60 percent of classrooms had Internet access in 2000



compared to 14 percent in 1997.

"Without the E-Rate, it would have been impossible for Westbury to have the advantage of this technology," said Dr. Joan Colvin, former assistant superintendent of Westbury School District, located on New York's Long Island. Nearly 80 percent of the students in the district qualify for the National School Lunch Program. Funding from the Schools and Libraries Support Mechanism allowed her to create a technology program more in line with the needs of the school district and its students, and is helping the school district provide expanded technological capacities in its buildings.



Since the inception of the E-Rate, the percent of public schools in the country with Internet access has grown significantly.

"Without the E-Rate, it would have been impossible for Westbury to have the advantage of this technology."

Dr. Joan Colvin
former Assistant
Superintendent
*Westbury School
District, NY*



Funds from the E-Rate make technology available to America's schools and libraries. Photos by Michael Divito, courtesy of The New York Public Library.

Synergies – Communication with service providers and applicants is an essential part of the application process. USAC's Schools and Libraries Division continues to work with state representatives of schools and libraries in regular conference calls in order to provide updates on the status of forms processing, to address issues that are raised by clients, and to seek input on ways to continue to streamline and improve the application and funding processes. This exchange of information and ideas helps USAC serve participants in a more timely and efficient manner. USAC held workshops in Washington, D.C. and Nashville, Tennessee for state representatives of schools and libraries. At these "train-the-trainer" workshops, USAC provided states and territories with information and materials that can be used locally to improve understanding of and participation in the application process.

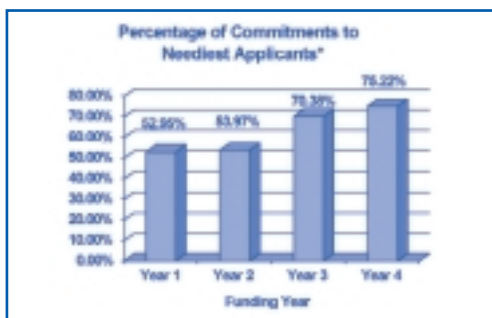
USAC also continues to work closely with service providers. Regular conference calls have allowed service providers to identify operational issues, which USAC could quickly address. In addition, training workshops were held this year for service providers in Washington, D.C. and Seattle, Washington. Service provider feedback from previous training sessions led to significant improvements. Finally, the Service Provider Manual, a step-by-step guide explaining the E-rate for the service provider community, was published in August 2001. This manual was the product of a task force of service provider representatives from large and small companies in all service categories.

Accomplishments – The year 2001 saw USAC institute a variety of changes and improvements to the administration of the program. A major accomplishment was the implementation of electronic certification for two of the key forms used in the application process. This new feature will help applicants speed the filing of FCC Forms 470 and 471 by allowing them to submit their forms online without

having to print, sign, and mail the form for processing. Electronic certification represents a dramatic increase in convenience and efficiency for applicants and service providers as well as for USAC, eliminating days usually spent waiting for the form to arrive in the mail. In addition, forms submitted electronically are less likely to contain errors or omit information, which prevents delays in processing the forms.

The first applicants to submit FCC Forms 470 and 471 online did so in November 2001. Gayle Scriven, the Director of Florence Public Library in Florence, Kansas, was the first to complete the electronic certification of FCC Form 470 online. Florence Public Library serves a population of 670. "I liked the concept of the electronic signature process; that's why I used it. We are open 15 hours a week; our one computer is in use all the time, and it is only because of the E-Rate program that we can afford this service." Tomahawk School District in Tomahawk, Wisconsin, was the first applicant to electronically certify its FCC Form 471. Lin Kautza, District Technology Coordinator, said, "Electronic certification is more time-effective, and streamlines the application process. I have moved from manual filing to online filing to electronic certification, and I appreciate the immense time savings these improvements have made."

Another new feature designed to ease the application process allows applicants who have successfully applied in previous years to enter less data when filing online. Applicants have the option of replicating the previous year's list of recipients of service. For large



* Qualifying for discounts of 80 percent or higher

Milwaukee

The public school system of Milwaukee, Wisconsin has the formidable task of educating over 100,000 students in 164 schools in the district. With the help of E-Rate funding, technology has become an important part of the learning process.

"Our schools are following a constructivist model of learning, where students are able to build and grow knowledge for themselves," said Kathy Swope, Project Director for the Division of School Technology Support for Milwaukee Public Schools. "Technology helps to facilitate that building process, instead of the students just absorbing knowledge."

The district has found a variety of ways for students to use and benefit from the technology within their schools. Four of the district's high schools run a Cisco Academy, designed to give its over 400 students a chance to develop technical skills and experience for possible careers in technology. The middle schools used the videoconferencing technology when studying law and the court system, allowing them to speak with a judge in the local courthouse. The elementary schools experienced a virtual field trip to the Cincinnati Zoo, where videoconferencing allowed the students to learn from the on-site staff. Digital pictures allowed the schools to share the trip with other schools in the district.

Milwaukee has gone to great lengths to make sure that its teachers keep up with the technology curve. Professional support development and a mentoring program for young teachers, all available online, seek to attract and retain teachers as well as optimize the faculty's use of technology in the classroom.

Beyond helping just the schools, surrounding communities have also enjoyed the benefits of the technology. "The whole notion of a connected community did not exist before E-rate," said Swope. Milwaukee Public Schools partnered with after-school programs, community-based organizations, and other programs to create "learning centers" after school for both students and their parents, allowing them to use the computers for study. Parents have used the centers for training in finding a job, or even studying for their general equivalency degrees.

The technology in the Milwaukee Public Schools, brought about in part by the Schools and Libraries Support Mechanism, continues to have farther-reaching benefits in addition to facilitating learning. "These connections would not have been possible without the E-rate," said Swope. "The possibilities are infinite."

school districts, this particular entry can be sizeable, encompassing 100 individual entities or more. Replicating the entry from the previous year reduces the amount of time and effort on the part of the applicant, removing the need for hundreds of entries for thousands of applicants, and ensures consistency and accuracy from year to year. This new feature has also encouraged applicants to apply online, which saves time spent on entering the form into a database and ensures that the form will contain accurate information. All of these benefits assist USAC in processing the application sooner

Another innovative feature unveiled in December 2001 was the posting of the status of applicants' FCC Forms 471 online, allowing the applicants to determine the status of a form filed for a particular funding year. This information allows applicants to monitor - and thus reduce concerns about - the status of their applications.

For service providers, a new option for invoicing USAC allows them to submit their FCC Form 474 online. This paperless filing method speeds the invoicing process for service providers by eliminating the need to mail the invoices.

Compliance – Compliance with applicable law is a cornerstone of the Schools and Libraries Support Mechanism. USAC's fundamental job is to administer the program to ensure the highest level of compliance with the Telecommunications Act and FCC regulations.

The most recent modification to the program was the Children's Internet Protection Act (CIPA), signed into law on December 21, 2000. As a result of CIPA, school and library authorities are required to certify that they are enforcing a policy of Internet safety that includes measures to block or filter Internet access to certain visual depictions for both minors and adults in order to receive discounts for Internet access and internal connections services. Working with the FCC,

USAC modified forms and implemented system changes to allow applicants to fully comply with the law.

In order to avoid waste, fraud, and abuse, USAC uses a vigorous program integrity assurance process for handling requests for funding and reviewing invoices. USAC works closely with the FCC Office of Inspector General, Common Carrier Bureau, and Enforcement Bureau to prevent and investigate claims of program rule violations, and independent accounting firms conduct audits of the operations, procedures, and financial operations. In addition, USAC conducts audits of beneficiaries in order to ensure applicant compliance with program rules.

In order to process applications, provide customer service, and develop and maintain the website, USAC has, through a competitive bidding process, contracted with NECA to provide these services. NECA has performed the tasks associated with this contract in a fully satisfactory manner.

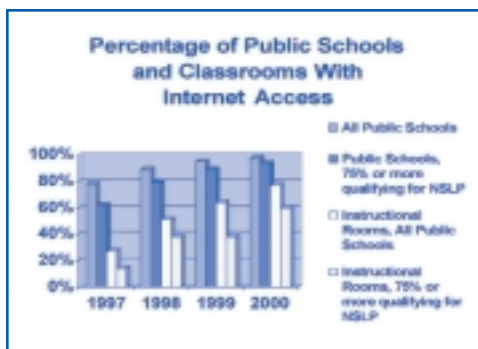


Photo by Howard Heyman, courtesy of The New York Public Library

“These connections would not have been possible without the E-Rate ... The possibilities are infinite.”

Kathy Swope
Project Director
Milwaukee Public Schools

Report of Independent Public Accountants



To the Board of Directors of the Universal Service Administrative Company:

We have audited the accompanying statements of financial position of the Universal Service Administrative Company (a Delaware corporation) (the "Company") as of December 31, 2000 and 1999, and the related statements of operations and change in unrestricted net assets and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of the Universal Service Administrative Company as of December 31, 2000 and 1999 and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States.

Roseland, New Jersey

March 26, 2001

Universal Service Administrative Company
Statements of Financial Position
December 31, 2000 and 1999 (in thousands)

<u>ASSETS</u>		2000	1999
CURRENT ASSETS:			
Cash and cash equivalents (Note 2)		\$ 1,065	\$ 11,893
Receivable from Federal Universal Service Fund ("USF") (Note 2)		1,913	-
Interest receivable		14	25
Prepaid expenses and other current assets		423	1,579
		<u>3,415</u>	<u>13,497</u>
RESTRICTED NET ASSETS (Note 3):			
Net assets applicable to Federal USF		1,826,841	1,684,401
Total current assets		<u>1,830,256</u>	<u>1,697,898</u>
FIXED ASSETS, net (Note 2):			
Total assets		<u>1,812</u>	<u>2,542</u>
		<u>\$ 1,832,068</u>	<u>\$ 1,700,440</u>
<u>LIABILITIES AND UNRESTRICTED NET ASSETS</u>			
LIABILITIES:			
Accounts payable and accrued expenses (Note 2)		\$ 5,227	\$ 677
Payable to USF (Note 2)		-	15,362
		<u>5,227</u>	<u>16,039</u>
RESTRICTED NET LIABILITIES (Note 3):			
Net funds held for Federal USF		1,826,841	1,684,401
Total current liabilities		<u>1,832,068</u>	<u>1,700,440</u>
COMMITMENTS AND CONTINGENCIES (Note 6)			
UNRESTRICTED NET ASSETS			
Total liabilities and unrestricted net assets		<u>-</u>	<u>-</u>
		<u>\$ 1,832,068</u>	<u>\$ 1,700,440</u>

The accompanying notes to financial statements are an integral part of these statements.

Universal Service Administrative Company
Statements of Operation and Change in Unrestricted Net
December 31, 2000 and 1999 (in thousands)

	2000	1999
REVENUE:		
Contract revenue	\$ 43,384	\$ 38,627
OPERATING EXPENSES:		
Contractual expenses (Notes 1 and 2)	35,438	33,499
Personnel and related expenses	2,832	2,090
General and administrative	4,249	2,713
Depreciation and amortization	865	325
Total operating expenses	43,384	38,627
Net income	-	-
UNRESTRICTED NET ASSETS, beginning of year	-	-
UNRESTRICTED NET ASSETS, end of year	\$ -	\$ -

The accompanying notes to financial statements are an integral part of these statements.

Universal Service Administrative Company

Statements of Cash Flows for the Years Ended December 31, 2000 and 1999 (in thousands)

	2000	1999
CASH FLOWS FROM OPERATING ACTIVITIES:		
Cash received from contributors	\$4,470,043	\$ 3,776,884
Interest received	119,874	60,552
Cash paid to contributors	-	(1,883)
Cash paid to service providers	(4,386,232)	(3,556,974)
Cash paid for administrative costs	(36,716)	(50,483)
Less: Net cash provided by Federal USF	(177,661)	(219,361)
Net cash (used for) provided by operating activities	(10,692)	8,735
CASH FLOWS FROM INVESTING ACTIVITIES:		
Redemption of short-term investments	573,145	-
Purchase of short-term investments	(962,235)	(573,145)
Cash paid for fixed assets	(136)	(2,507)
Less: Net cash used for Federal USF	389,090	573,145
Net cash (used for) by investing activities	(136)	(2,507)
(Decrease) increase in cash and cash equivalents	(10,828)	6,228
CASH AND CASH EQUIVALENTS, beginning of year	11,893	5,665
CASH AND CASH EQUIVALENTS, end of year	\$ 1,065	\$ 11,893
RECONCILIATION OF NET CASH FROM OPERATING ACTIVITIES:		
Net income	\$ -	\$ -
Adjustments to reconcile net income to net cash (used for) provided by operating activities-		
Depreciation and amortization	865	325
Changes in operating assets and liabilities-		
Decrease (increase) in interest receivable	11	(25)
Decrease (Increase) in prepaid expenses and other current assets	1,156	(1,579)
(Increase) in restricted net assets applicable to Federal USF	(142,440)	(280,756)
(Increase) in receivable from Federal USF	(1,913)	-
(Decrease) increase in payable to Federal USF	(15,362)	15,362
Increase (decrease) in accounts payable and accrued expenses	4,551	(5,348)
Increase in restricted net funds held for Federal USF	142,440	280,756
Net cash (used for) provided by operating activities	\$ (10,692)	\$ 8,735

The accompanying notes to financial statements are an integral part of these statements.

Universal Service Administrative Company

Notes to Financial Statements

December 31, 2000 and 1999 (in thousands)

1. ORGANIZATION AND BASIS OF PRESENTATION

The Federal Communications Commission ("FCC") in its Report and Order in CC Docket No. 96-45 ("Universal Service Order") released May 8, 1997 determined that the National Exchange Carrier Association, Inc. ("NECA") should serve as the temporary administrator of the universal service support mechanisms, collectively referred to herein as the "Support Mechanisms", established pursuant to Section 254 of the Communications Act of 1934, as amended.

The Universal Service Administrative Company ("USAC" or the "Company") was incorporated, effective September 17, 1997, as a not for profit independent wholly-owned subsidiary of NECA, and appointed by the FCC to administer the Federal Universal Service Fund ("USF"). In accordance with FCC Regulation 47 C.F.R. Part 54, USAC's Board of Directors consists of independent directors representing a cross-section of stakeholders in the Support Mechanisms. The Company is comprised of three divisions High Cost and Low Income Division ("HCLID"), the Schools and Libraries Division ("SLD"), and the Rural Health Care Division ("RHD") (collectively, the "Divisions").

USAC performs billing, collection and disbursement functions for all the Support Mechanisms. It also collects information regarding contributing entities' and end-user telecommunications revenues, submits to the FCC projections of demand and administrative expenses for the Support Mechanisms and submits quarterly universal service contribution data to the FCC.

The functions of USAC and the Divisions also include, but are not limited to: development of applications and associated instructions as needed for the Support Mechanisms, administering the application process to ensure compliance with FCC rules and regulations, creating and maintaining a web site and related operational infrastructure for such processes, performing outreach and public education functions, authorizing audits of telecommunication carriers, schools, libraries, and rural health care providers, and development and implementation of other functions unique to the Support Mechanisms. Each of the previously named divisions are responsible for the operations associated with each of the like named Support Mechanisms.

Funds collected from contributors by USAC are restricted as to their intended use related to the Support Mechanisms discussed above. Accordingly, such funds, together with related assets and liabilities have been reflected as restricted net assets applicable to Federal USF in the accompanying statements of financial position. Available funds are maintained and invested by USAC.

NECA performs administrative services for USAC under contract whereby NECA is compensated by USAC in accordance with NECA's Cost Accounting and Procedures Manual. Effectively July 1, 2000, NECA entered into a fixed price contract with USAC for services performed for the Schools and Libraries and Rural Health Care support mechanisms. For the years ended December 31, 2000 and 1999, the expense recognized for services rendered by NECA were \$33,796 and \$33,499, respectively and are included in contractual expenses in the accompanying statements of operations.

Universal Service Administrative Company

Notes to Financial Statements

December 31, 2000 and 1999 (in thousands)

2. ACCOUNTING POLICIES

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Cash and Cash Equivalents

USAC considers all highly liquid securities, purchased with an original maturity of three months or less, to be cash equivalents.

Short-term Investments

USAC considers all securities purchased with an original maturity greater than three months but less than or equal to one year to be short-term investments. All short-term investments are classified as held-to-maturity because USAC has the intent and ability to hold the securities to maturity. Held-to-maturity securities are stated at amortized cost. The carrying value of investment securities approximates fair market value because of the short maturity of these investments.

Fixed Assets

Fixed assets consists of furniture and equipment, leasehold improvements and software and are carried at cost. Depreciation of furniture and equipment is calculated on a straight-line basis over the estimated useful lives of those assets (three to seven years). Amortization of leasehold improvements is calculated on a straight-line basis over the remaining period of the respective leases or the estimated useful lives of the improvements, whichever is less. Amortization of software is calculated on a straight-line basis over the estimated useful lives of those assets (three years). Maintenance and repairs are charged to operations as incurred.

The AICPA has issued Statement of Position 98-1 "Accounting for the Costs of Computer Software Developed or Obtained for Internal Use" effective for financial statements for fiscal years beginning after December 15, 1998. The statement requires that certain costs of materials and services consumed in developing or obtaining internal-use computer software be capitalized. USAC commenced capitalization of these costs in 1999. Amounts capitalized in 2000 and 1999 was \$33 and \$2,105, respectively.

Accounts Payable and Accrued Expenses

In 2000 and 1999, accounts payable and accrued expenses represents costs incurred and recorded by USAC related to the administration of the USF

Receivable from and Payable to USF

Receivable from USF presented on the USAC statement of financial position as of December 31, 2000 consists of amounts owed USAC from the USF for accounts payable and accrued expenses incurred by USAC net of assets available to satisfy those obligations.

Payable to USF presented on the USAC statement of financial position as of December 31, 1999

Universal Service Administrative Company

Notes to Financial Statements

December 31, 2000 and 1999 (in thousands)

consists of USAC assets available to satisfy USF obligations net of accounts payable and accrued expenses incurred and recorded by USAC on behalf of the USE.

Amounts Billed to Contributors

Contributors to the USF are permitted to revise their revenue data, which may result in adjustments to amounts previously billed. In accordance with FCC Rules and Regulations, the Company has recorded these adjustments in current period billings rather than reflecting these adjustments in the period to which they pertain. Management does not believe that the impact of these adjustments is material to the financial statements presented.

Payable to Service Providers

Payable to service providers reflects amounts that have been approved for payment by the various Support Mechanisms but have not yet been disbursed. The Company recognizes the obligation upon review and approval of the submitted payment requests as specified in the Support Mechanism rules.

Amounts Paid and Due to Service Providers

Amounts paid and due to service providers are presented as a gross amount. However, during 2000 and 1999, service providers receiving support from Schools and Libraries Support Mechanism had the option to net their support due from Schools and Libraries Support Mechanism against their contributions relating to all four of the Support Mechanisms comprising USE. It is mandatory that providers receiving support from Rural Health Care Support Mechanism net their support due against their contributions to USE. There is no provision that enables providers to net their support due from High Cost and Low Income Support Mechanisms against their contributions to USE.

Amounts paid and due to service providers through certain Support Mechanisms are based on estimates and provider data which may be subject to subsequent revisions. These revisions may result in adjustments to amounts previously billed or disbursed. In accordance with FCC Rules and Regulations, the Company records these adjustments in the period they are determined. Management does not believe that the impact of these adjustments is material to the financial statements presented.

Statements of Cash Flows

The statements of cash flows include all cash flow activity relating to USAC and the Support Mechanisms.

Reclassification

Certain reclassifications to the 1999 financial statements have been made to conform to the current year presentation.

Universal Service Administrative Company

Notes to Financial Statements

December 31, 2000 and 1999 (in thousands)

Change in Accounting Policy

In prior years, the statement of operations and change in unrestricted net assets reflected only the common charges of USAC and did not contain the operating expenses of the Support Mechanisms, as reflected in their statement of activities. Effective January 1, 2000, the Company began to recognize all the operating costs and the related contract revenues associated with administering the Support Mechanisms. Management believes this policy more accurately reflects all operating costs and revenues related to USAC's operations. The 1999 statement of operations and change in unrestricted net assets have been restated to reflect this change in accounting policy.

3. RESTRICTED NET ASSETS AND NET LIABILITIES

In connection with USAC's administration of the Support Mechanisms (Note 1), USAC collects monies and makes disbursements between various telecommunications providers, as specified by the FCC. The following summary statements of net assets applicable to Federal USE, summary statements of activities and summary statements of cash flows are provided for additional information.

Universal Service Administrative Company
Notes to Financial Statements
December 31, 2000 and 1999 (in thousands)

SUMMARY STATEMENT OF NET ASSETS APPLICABLE TO FEDERAL USF	2000				
	High Cost	Low Income	Schools & Libraries	Rural Health Care	Total USF
ASSETS:					
Restricted cash and cash equivalents	\$ 49,160	\$ 52,035	\$ 640,124	\$ 7,548	\$ 748,867
Short-term investments	-	-	962,235	-	962,235
Receivable from contributors	241,047	56,180	140,438	1,195	438,860
Allowance for doubtful accounts	(16,541)	(4,382)	(12,780)	(281)	(33,984)
Receivable from USAC	-	-	-	-	-
Interest receivable	26	28	29,275	5	29,334
Prepaid and other assets	-	-	-	-	-
Total assets	273,692	103,861	1,759,292	8,467	2,145,312
LIABILITIES:					
Payable to service providers	226,700	47,486	26,341	-	300,527
Payable to contributors	7,979	1,572	6,416	64	16,031
Payable to USAC	(157)	(3)	2,036	37	1,913
Accounts payable and accrued expenses	-	-	-	-	-
Intraprogram payable (receivable)	-	-	-	-	-
Total liabilities	234,522	49,055	34,793	101	318,471
Net assets applicable to Federal USF	\$ 39,170	\$ 54,806	\$ 1,724,499	\$ 8,366	\$ 1,826,841

SUMMARY STATEMENT OF ACTIVITIES	2000				
	High Cost	Low Income	Schools & Libraries	Rural Health Care	Total USF
ADDITIONS:					
Amounts billed to contributors	\$ 2,252,041	\$ 530,287	\$ 1,684,713	\$ 9,283	\$ 4,476,324
Interest income	10,023	4,855	111,293	478	126,649
Total additions	2,262,064	535,142	1,796,006	9,761	4,602,973
DEDUCTIONS:					
Amounts paid and due to service providers	2,223,708	522,758	1,651,544	4,911	4,402,921
Refunds paid and due to contributors	210	73	89	1	373
Allowance for doubtful accounts	6,426	1,494	5,783	152	13,855
Operating expenses	4,432	1,348	34,319	3,285	43,384
Total deductions	2,234,776	525,673	1,691,735	8,349	4,460,533
Change in net assets	27,288	9,469	104,271	1,412	142,440
INTRAPROGRAM TRANSFERS (Note 4)	-	-	-	-	-
NET ASSETS, beginning of year	11,882	45,337	1,620,228	6,954	1,684,401
NET ASSETS, end of year	\$ 39,170	\$ 54,806	\$ 1,724,499	\$ 8,366	\$ 1,826,841

1999				
High Cost	Low Income	Schools & Libraries	Rural Health Care	Total USF
\$ 444	\$ 73,266	\$ 880,878	\$ 5,708	\$ 960,296
-	-	573,145	-	573,145
169,622	44,464	202,319	1,010	417,415
(10,115)	(2,889)	(6,996)	(129)	(20,129)
2,315	321	12,381	345	15,362
215	961	21,357	18	22,551
9	9	9	8	35
<u>162,490</u>	<u>116,132</u>	<u>1,683,093</u>	<u>6,960</u>	<u>1,968,675</u>
142,803	78,049	58,978	-	279,830
428	123	3,887	6	4,444
-	-	-	-	-
-	-	-	-	-
7,377	(7,377)	-	-	-
<u>150,608</u>	<u>70,795</u>	<u>62,865</u>	<u>6</u>	<u>284,274</u>
<u>\$ 11,882</u>	<u>\$ 45,337</u>	<u>\$ 1,620,228</u>	<u>\$ 6,954</u>	<u>\$ 1,684,401</u>

1999				
High Cost	Low Income	Schools & Libraries	Rural Health Care	Total USF
\$ 1,752,269	\$ 501,991	\$ 1,610,195	\$ 2,035	\$ 3,866,490
2,910	5,338	71,650	2,362	82,260
<u>1,755,179</u>	<u>507,329</u>	<u>1,681,845</u>	<u>4,397</u>	<u>3,948,750</u>
1,731,835	485,391	1,397,345	544	3,615,115
370	117	306	7	800
6,289	1,795	5,396	(28)	13,452
3,267	1,531	30,313	3,516	38,627
<u>1,741,761</u>	<u>488,834</u>	<u>1,433,360</u>	<u>4,039</u>	<u>3,667,994</u>
13,418	18,495	248,485	358	280,756
-	-	90,200	(90,200)	-
<u>(1,536)</u>	<u>26,842</u>	<u>1,281,543</u>	<u>96,796</u>	<u>1,403,645</u>
<u>\$ 11,882</u>	<u>\$ 45,337</u>	<u>\$ 1,620,228</u>	<u>\$ 6,954</u>	<u>\$ 1,684,401</u>

Universal Service Administrative Company
Notes to Financial Statements
December 31, 2000 and 1999 (in thousands)

SUMMARY STATEMENT OF CASH FLOWS	2000				
	High Cost	Low Income	Schools & Libraries	Rural Health Care	Total USF
CASH FLOWS FROM OPERATING ACTIVITIES:					
Cash received from contributors	\$ 2,189,613	\$ 520,047	\$ 1,751,254	\$ 9,129	\$ 4,470,043
Cash paid to contributors	-	-	-	-	-
Cash paid to service providers	(2,141,410)	(553,528)	(1,686,415)	(4,879)	(4,386,232)
Cash paid to USAC for administrative expenses	(2,262)	(901)	(19,602)	(2,865)	(25,630)
Cash paid to USAC for working capital	-	-	-	-	-
Interest received	10,152	5,774	103,099	455	119,480
Intraprogram loans	(7,377)	7,377	-	-	-
Intraprogram transfers	-	-	-	-	-
Net cash provided by (used for) operating activities	48,716	(21,231)	148,336	1,840	177,661
CASH FLOWS FROM INVESTING ACTIVITIES:					
Redemption of short-term investments	-	-	573,145	-	573,145
Purchase of short-term investments	-	-	(962,235)	-	(962,235)
Net cash used in investing activities	-	-	(389,090)	-	(389,090)
CASH FLOWS FROM FINANCING ACTIVITIES:					
Increase (decrease) in cash and cash equivalents	48,716	(21,231)	(240,754)	1,840	(211,429)
CASH AND CASH EQUIVALENTS, beginning of year	444	73,266	880,878	5,708	960,296
CASH AND CASH EQUIVALENTS, end of year	\$ 49,160	\$ 52,035	\$ 640,124	\$ 7,548	\$ 748,867

1999				
High Cost	Low Income	Schools & Libraries	Rural Health Care	Total USF
\$ 1,737,393	\$499,725	\$ 1,529,285	\$ 10,481	\$3,776,884
(1,453)	(117)	(306)	(7)	(1,883)
(1,730,412)	(487,936)	(1,338,081)	(545)	(3,556,974)
(3,836)	(1,295)	(39,026)	(3,168)	(47,325)
(1,459)	(421)	(9,502)	(511)	(11,893)
2,683	4,420	51,045	2,404	60,552
(2,472)	2,472	-	-	-
-	-	90,200	(90,200)	-
444	16,848	283,615	(81,546)	219,361
-	-	-	-	-
-	-	(573,145)	-	(573,145)
-	-	(573,145)	-	(573,145)
-	-	-	-	-
444	16,848	(289,530)	(81,546)	(353,784)
-	56,418	1,170,408	87,254	1,314,080
\$ 444	\$ 73,266	\$ 880,878	\$ 5,708	\$ 960,296

Universal Service Administrative Company

Notes to Financial Statements

December 31, 2000 and 1999 (in thousands)

4. INTRAPROGRAM TRANSFERS

Effective the first quarter of 1999, in accordance with the Contribution Factors Public Notice released on December 4, 1998, the FCC directed that excess contributions be credited back to the contributors of the Rural Health Care Support Mechanism. The contributions received through November 1999 from rural health care contributors exceeded the amounts required to meet demand for 1998 and the first quarter of 1999. The FCC proposed that the excess contributions received should be applied to reduce the contribution obligations for 1999 and did so by applying the excess contributions from the Rural Health Care Support Mechanism to the Schools and Libraries Support Mechanism since these mechanisms utilize the same contribution base. The contribution base for both the Schools and Libraries Support Mechanism and the Rural Health Care Support Mechanism for 1999 consisted of interstate, intrastate, and international end-user telecommunications revenues. Accordingly, during 1999, USAC re-allocated \$90,200 from the Rural Health Care Support Mechanism to the Schools and Libraries Support Mechanism.

5. INCOME TAXES

USAC is a taxable corporation that only pays income taxes related to permanent and temporary book to tax differences. Income taxes relating to book to tax differences for the years ended December 31, 2000 and 1999 are not material.

6. COMMITMENTS AND CONTINGENCIES

Commitments to Schools, Libraries and Rural Health Care Facilities

The management of USAC has developed operational procedures to administer the application process through which eligible schools and libraries and rural health care providers apply for universal service funding. These operational procedures enable USAC to review and process applications resulting in funding commitment letters that are issued to eligible schools and libraries and rural health care providers. Funding commitments made to eligible schools and libraries and rural health care providers are not fixed and are not binding for either the USAC or the schools and libraries and rural health care providers applying for funding. At any point in time, funds committed could potentially exceed funds available due to the nature of the process, the volume and timing of application receipt and approval, the timing of collections and the extent to which several funding years may be open at that point in time.

Fixed Contract Commitment

On May 1, 2000, USAC entered into an agreement ("the Agreement") with NECA. The Agreement is a three year contract, which runs from July 1, 2000 to June 30, 2003. Under the terms of this agreement NECA is to provide programmatic support service to the schools and libraries and rural health care support mechanisms. The future contractual required payments per year under the Agreement are as follows:

Universal Service Administrative Company

Notes to Financial Statements

December 31, 2000 and 1999 (in thousands)

	<u>Schools and Libraries</u>	<u>Rural Health Care</u>
2001	\$18,216	\$1,964
2002	17,328	1,884
2003	9,965	962

Lease Commitments

USAC leases equipment and office space under noncancellable operating leases. The leases expire at various dates through 2003 and provide for escalation clauses, the effect of which is not expected to be significant. Rent expense relating to premises and equipment, including payments under month-to-month leases, amounted to \$287 in 2000 and \$308 in 1999. At December 31, 2000, the minimal annual rental commitments under these leases are as follows:

2001	\$324
2002	330
2003	<u>337</u>
	<u>\$ 991</u>

Vendor Dispute

NECA is subject to a dispute with a systems vendor. The services performed by the systems vendor were contracted by NECA, in relation to the service agreement between NECA and USAC. USAC management believes, based on the advice of its in-house counsel, that their obligation under this claim does not exceed \$112 and this amount has been accrued for in the accompanying December 31, 2000 financial statements.

7. RETIREMENT PLANS

USAC has a 401(k) Retirement Savings Plan covering all USAC regular employees. The plan is both contributory and noncontributory and all contributions are subject to certain limitations as prescribed by the plan document and government regulations. Employees are immediately vested in the employer contribution, which is funded on a current basis. Employer contributions charged to operations were \$225 and \$175 during 2000 and 1999, respectively.

Appendix B

Disbursements by Service Provider Type (in thousands), 2001, All Support Mechanisms

Service Provider Type	High Cost	Low Income	Rural Health Care	Schools and Libraries	TOTAL
COMPETITIVE ACCESS PROVIDERS	\$ 3,214	\$ 1,180	\$ 284	\$23,369	\$ 28,047
CELLULAR/PCS PROVIDERS	13,927	866	---	13,849	28,642
WIRELESS DATA PROVIDERS	---	---	---	1,947	1,947
INTERNET SERVICE PROVIDERS	---	---	---	64,450	64,450
INTEREXCHANGE PROVIDERS	---	---	4,912	53,443	58,355
LOCAL EXCHANGE CARRIERS	2,585,316	581,986	2,265	479,391	3,666,099
LOCAL RESELLERS	---	---	---	8,902	8,902
NON-TRADITIONAL PROVIDERS	---	---	---	736,669	736,669
OPERATOR SERVICE PROVIDERS	---	---	---	20	20
OTHER LOCAL	---	---	30	12,314	12,343
OTHER MOBILE	---	---	---	260	260
OTHER TOLL	---	---	263	153	416
PAGING AND MESSAGING	---	---	---	1,980	1,980
PAYPHONE SERVICE PROVIDERS	---	---	---	64	64
PRE-PAID CARD PROVIDERS	---	---	---	2	2
PRIVATE SERVICE PROVIDERS	---	---	---	9,467	9,467
SATELLITE SERVICE PROVIDERS	---	---	---	795	795
SPECIALIZED MOBILE SERVICE PROVIDERS	---	---	---	360	360
SHARED TENANT SERVICE PROVIDERS	---	---	---	49	49
TOLL RESELLERS	---	---	---	8,574	8,574
NOT SPECIFIED	---	---	136	48,172	48,197
TOTAL	\$ 2,602,457	\$ 584,032	\$ 7,890	\$ 1,464,229	\$ 4,658,608

High Cost Support Mechanism by State (disbursements in thousands)

State	Total Rural	Total Non-Rural	2001 Support	Total (1998-2001)
ALABAMA	\$30,364	\$63,439	\$93,803	\$258,253
ALASKA	77,691	0	77,691	278,109
AMERICAN SAMOA	492	0	492	1,378
ARIZONA	44	7,741	51,408	150,713
ARKANSAS	70,812	6,822	77,634	292,834
CALIFORNIA	50,278	32,314	82,592	250,705
COLORADO	45,983	16,017	62,000	203,302
CONNECTICUT	764	340	1,104	4,112
DELAWARE	0	386	386	582
DC	0	0	0	0
FLORIDA	22,149	61,948	84,097	172,213
GEORGIA	79,475	11,655	91,130	316,618
GUAM	2,319	0	2,319	9,751
HAWAII	2,857	2,703	5,560	8,452
IDAHO	43,505	0	43,505	138,294
ILLINOIS	27,598	11,309	38,907	131,778
INDIANA	21,315	21,202	42,517	105,410
IOWA	34,222	21	34,243	115,949
KANSAS	80,635	1,046	81,681	275,668
KENTUCKY	19,958	15,593	35,551	108,268
LOUISIANA	70,984	10,805	81,789	284,434
MAINE	21,323	9,599	30,922	99,108
MARYLAND	615	3,752	4,368	7,872
MASSACHUSETTS	773	789	1,562	3,8467
MICHIGAN	40,583	145	40,728	146,641
MINNESOTA	48,798	1,765	50,563	177,327
MISSISSIPPI	25,546	115,794	141,340	328,011
MISSOURI	66,043	9,757	75,800	241,383
MONTANA	47,732	4,520	52,251	184,408
NEBRASKA	25,930	0	25,930	90,706
NEVADA	18,297	4,437	22,734	58,791
NEW HAMPSHIRE	7,488	1,971	9,459	34,791
NEW JERSEY	1,432	4,650	6,082	13,933
NEW MEXICO	39,370	3,056	42,426	148,852
NEW YORK	44,965	16,241	61,206	186,910
NORTH CAROLINA	24,247	14,539	38,786	143,655
NORTH DAKOTA	26,983	749	27,732	96,642
N. MARIANA IS.	3,781	0	3,781	18,112
OHIO	17,569	11,585	29,153	77,654
OKLAHOMA	69,789	6,932	76,721	260,111
OREGON	42,994	17,462	60,457	178,668
PENNSYLVANIA	32,575	3,033	35,608	108,435
PUERTO RICO	0	118,099	118,099	530,187
RHODE ISLAND	0	96	96	121
SOUTH CAROLINA	39,561	15,223	54,784	191,252
SOUTH DAKOTA	24,061	72	24,133	81,867
TENNESSEE	32,658	8,111	40,769	130,848
TEXAS	138,145	29,069	167,214	547,111
UTAH	12,665	1,747	14,412	48,056
VERMONT	11,623	11,203	22,825	72,192
VIRGIN ISLANDS	25,264	0	25,264	90,426
VIRGINIA	12,790	51,489	64,279	126,299
WASHINGTON	60,540	16,540	77,080	215,792
WEST VIRGINIA	34,416	37,355	71,770	182,111
WISCONSIN	57,351	2,377	59,728	213,350
WYOMING	24,206	11,780	35,985	112,949
Total	\$1,805,179	\$797,278	\$2,602,457	\$8,255,242

High Cost Support by Component, 2001(disbursements in thousands)

State	High Cost Loop*	Interstate Access	Long Term	Local Switching
ALABAMA	\$61,899	\$17,767	\$7,444	\$6,692
ALASKA	43,770	0	17,207	16,714
AMERICAN SAMOA	18	0	262	212
ARIZONA	24,478	12,768	3,172	10,991
ARKANSAS	47,076	6,822	15,623	8,113
CALIFORNIA	30,104	32,326	13,469	6,693
COLORADO	29,489	16,017	12,293	4,202
CONNECTICUT	0	340	165	598
DELAWARE	0	386	0	0
DC	0	0	0	0
FLORIDA	0	62,063	5,401	3,742
GEORGIA	47,790	11,891	18,129	13,320
GUAM	343	0	1,975	0
HAWAII	1,277	2,703	0	1,580
IDAHO	18,676	14,489	3,511	6,829
ILLINOIS	7,707	13,200	6,305	11,695
INDIANA	4,313	23,903	5,211	9,090
IOWA	5,117	7,057	7,349	14,721
KANSAS	48,785	7,046	11,622	14,227
KENTUCKY	9,485	16,185	4,972	4,907
LOUISIANA	46,704	10,085	16,978	7,302
MAINE	16,568	726	6,098	7,530
MARYLAND	48	3,752	93	475
MASSACHUSETTS	117	789	104	552
MICHIGAN	22,709	145	9,967	7,906
MINNESOTA	17,036	3,428	12,338	17,761
MISSISSIPPI	120,684	11,797	5,151	3,707
MISSOURI	40,310	15,880	10,877	8,733
MONTANA	32,039	559	10,158	9,495
NEBRASKA	9,899	1,325	3,919	10,788
NEVADA	6,639	8,394	930	6,770
NEW HAMPSHIRE	1,007	1,971	1,535	4,946
NEW JERSEY	0	5,000	0	1,082
NEW MEXICO	18,115	7,736	6,252	10,323
NEW YORK	15,554	23,369	6,908	18,375
NORTH CAROLINA	8,926	12,089	12,233	5,538
NORTH DAKOTA	11,057	1,159	6,071	9,444
N. MARIANA IS.	2,687	250	0	843
OHIO	7,592	11,585	5,185	4,792
OKLAHOMA	38,399	6,932	16,657	14,734
OREGON	23,858	19,583	9,391	7,624
PENNSYLVANIA	1,205	13,375	14,347	6,680
PUERTO RICO	21,169	0	96,930	0
RHODE ISLAND	0	96	0	0
SOUTH CAROLINA	19,279	16,797	11,264	7,444
SOUTH DAKOTA	9,073	72	5,115	9,872
TENNESSEE	13,853	8,639	10,548	7,730
TEXAS	80,580	38,621	30,092	17,921
UTAH	4,995	2,711	1,510	5,195
VERMONT	13,905	1,195	2,424	5,301
VIRGIN ISLANDS	17,950	0	7,314	0
VIRGINIA	3,984	52,028	3,392	4,875
WASHINGTON	30,611	22,905	15,577	7,897
WEST VIRGINIA	47,619	19,314	1,077	3,759
WISCONSIN	21,086	2,632	13,023	22,988
WYOMING	19,142	6,072	4,568	6,202
Total	\$1,134,621	\$576,669	\$492,134	\$399,003

Low Income Support by State (disbursements in thousands)

State	2001	Total 1998 - 2001
ALABAMA	\$ 2,301	\$ 7,166
ALASKA	1,410	2,558
AMERICAN SAMOA	55	193
ARIZONA	4,364	9,900
ARKANSAS	618	2,646
CALIFORNIA	306,585	1,116,631
COLORADO	2,661	8,894
CONNECTICUT	4,953	17,993
DELAWARE	132	245
DISTRICT OF COLUMBIA	1,010	2,778
FLORIDA	13,984	47,048
GEORGIA	6,761	25,640
GUAM	228	500
HAWAII	1,379	4,344
IDAHO	2,502	6,153
ILLINOIS	6,567	16,664
INDIANA	2,797	6,339
IOWA	1,077	2,351
KANSAS	1,297	2,910
KENTUCKY	4,480	10,596
LOUISIANA	1,473	3,677
MAINE	8,589	27,412
MARYLAND	403	1,436
MASSACHUSETTS	16,008	57,974
MICHIGAN	11,998	43,594
MINNESOTA	3,817	14,353
MISSISSIPPI	1,942	5,402
MISSOURI	2,665	5,477
MONTANA	1,382	3,809
NEBRASKA	1,494	4,122
NEVADA	2,140	4,458
NEW HAMPSHIRE	550	1,514
NEW JERSEY	3,301	6,012
NEW MEXICO	3,975	12,625
NEW YORK	46,849	205,325
NORTH CAROLINA	8,240	19,698
NORTH DAKOTA	1,389	4,149
NORTHERN MARIANA ISLANDS	37	131
OHIO	20,334	47,143
OKLAHOMA	6,497	7,512
OREGON	3,172	10,769
PENNSYLVANIA	6,048	17,189
PUERTO RICO	1,145	3,939
RHODE ISLAND	4,425	16,086
SOUTH CAROLINA	1,991	7,292
SOUTH DAKOTA	1,579	3,857
TENNESSEE	4,362	12,116
TEXAS	30,723	96,428
UTAH	1,946	7,004
VERMONT	2,984	10,104
VIRGIN ISLANDS	9	144
VIRGINIA	2,042	7,850
WASHINGTON	8,802	25,320
WEST VIRGINIA	426	1,568
WISCONSIN	5,941	18,609
WYOMING	193	517
Total	\$ 584,032	\$ 2,006,167

Low Income Support by Component, 2001(disbursements in thousands)

State	Lifeline	Link-Up	Toll Limitation	TOTAL
ALABAMA	\$2,270	\$ 28	\$3	\$ 2,301
ALASKA	1,316	48	46	1,410
AMERICAN SAMOA	53	2	0	55
ARIZONA	3,953	294	117	4,364
ARKANSAS	560	53	4	618
CALIFORNIA	284,300	20,220	2,065	306,585
COLORADO	2,604	21	35	2,661
CONNECTICUT	4,862	83	8	4,953
DELAWARE	124	8	0	132
DC	1,010		0	1,010
FLORIDA	13,724	231	29	13,984
GEORGIA	6,681	70	11	6,761
GUAM	209	19	0	228
HAWAII	1,171	208	0	1,379
IDAHO	2,438	23	42	2,502
ILLINOIS	5,824	739	4	6,567
INDIANA	2,491	305	1	2,797
IOWA	1,041	18	18	1,077
KANSAS	1,218	74	6	1,297
KENTUCKY	4,308	146	26	4,480
LOUISIANA	1,453	16	3	1,473
MAINE	7,955	617	17	8,589
MARYLAND	390	13	0	403
MASSACHUSETTS	15,962	46	0	16,008
MICHIGAN	11,499	494	6	11,998
MINNESOTA	3,803	3,245	11	3,817
MISSISSIPPI	1,918	20	3	1,942
MISSOURI	2,478	152	34	2,665
MONTANA	1,313	36	34	1,382
NEBRASKA	1,411	42	42	1,494
NEVADA	2,065	65	10	2,140
NEW HAMPSHIRE	535	14	0	550
NEW JERSEY	3,282	18	1	3,301
NEW MEXICO	3,843	40	92	3,975
NEW YORK	46,003	839	7	46,849
NORTH CAROLINA	8,161	58	20	8,240
NORTH DAKOTA	1,339	31	19	1,389
N. MARIANA IS.	28	8	0	37
OHIO	19,146	1,099	89	20,334
OKLAHOMA	6,209	238	50	6,497
OREGON	3,082	71	19	3,172
PENNSYLVANIA	5,675	373	0	6,048
PUERTO RICO	1,124	21	0	1,145
RHODE ISLAND	4,411	14	351	4,425
SOUTH CAROLINA	1,946	29	16	1,991
SOUTH DAKOTA	1,511	36	31	1,579
TENNESSEE	4,209	127	26	4,362
TEXAS	28,867	1,714	142	30,273
UTAH	1,897	15	34	1,946
VERMONT	2,926	53	5	2,984
VIRGIN ISLANDS	9,300	0	0	10
VIRGINIA	1,981	59	2	2,042
WASHINGTON	7,902	792	108	8,802
WEST VIRGINIA	412	9	5	426
WISCONSIN	5,365	571	5	5,941
WYOMING	185	4	3	193
Total	\$ 550,453	\$ 30,330	\$ 3,249	\$584,032

Rural Health Care Support by State (disbursements in thousands)

State	2001	Total 1998 - 2001
ALABAMA	\$ 0	\$ 9
ALASKA	4,106	6,006
AMERICAN SAMOA	0	0
ARIZONA	338	675
ARKANSAS	139	163
CALIFORNIA	134	229
COLORADO	99	158
CONNECTICUT	0	0
DELAWARE	0	0
DISTRICT OF COLUMBIA	0	0
FLORIDA	0	0
GEORGIA	0	0
GUAM	0	0
HAWAII	219	405
IDAHO	28	58
ILLINOIS	127	217
INDIANA	0	0
IOWA	97	169
KANSAS	125	300
KENTUCKY	14	14
LOUISIANA	12	12
MAINE	0	0
MARYLAND	0	0
MASSACHUSETTS	0	0
MICHIGAN	218	431
MINNESOTA	448	760
MISSISSIPPI	34	83
MISSOURI	32	109
MONTANA	269	587
NEBRASKA	279	579
NEVADA	0	58
NEW HAMPSHIRE	18	32
NEW JERSEY	0	0
NEW MEXICO	141	289
NEW YORK	0	124
NORTH CAROLINA	121	188
NORTH DAKOTA	341	657
NORTHERN MARIANA ISLANDS	0	0
OHIO	11	74
OKLAHOMA	8	39
OREGON	28	47
PENNSYLVANIA	0	49
PUERTO RICO	0	0
RHODE ISLAND	0	0
SOUTH CAROLINA	23	41
SOUTH DAKOTA	177	268
TENNESSEE	6	16
TEXAS	98	120
UTAH	0	30
VERMONT	0	5
VIRGIN ISLANDS	88	91
VIRGINIA	32	77
WASHINGTON	45	83
WEST VIRGINIA	9	25
WISCONSIN	8	23
WYOMING	16	46
Total	\$ 7,890	\$13,347

Schools and Libraries Support by State (disbursements in thousands)

State	2001	Total 1998-2001
ALABAMA	\$ 14,102	\$80,429
ALASKA	10,110	27,273
AMERICAN SAMOA	978	7,307
ARIZONA	30,735	100,400
ARKANSAS	11,534	30,893
CALIFORNIA	288,199	638,702
COLORADO	9,804	30,954
CONNECTICUT	18,826	74,002
DELAWARE	1,178	3,319
DISTRICT OF COLUMBIA	7,390	15,027
FLORIDA	46,929	139,994
GEORGIA	46,183	158,518
GUAM	205	205
HAWAII	924	9,627
IDAHO	2,138	9,281
ILLINOIS	97,905	304,307
INDIANA	12,366	46,648
IOWA	4,311	15,214
KANSAS	6,886	26,909
KENTUCKY	21,897	95,229
LOUISIANA	20,460	89,297
MAINE	2,179	6,844
MARYLAND	16,860	47,838
MASSACHUSETTS	23,736	80,852
MICHIGAN	40,548	156,711
MINNESOTA	13,057	54,909
MISSISSIPPI	17,203	66,225
MISSOURI	32,690	96,344
MONTANA	2,025	8,509
NEBRASKA	4,338	13,902
NEVADA	2,563	8,643
NEW HAMPSHIRE	567	2,723
NEW JERSEY	32,652	114,925
NEW MEXICO	11,941	50,130
NEW YORK	208,395	536,975
NORTH CAROLINA	20,993	74,939
NORTH DAKOTA	1,254	5,300
NORTHERN MARIANA ISLANDS	77	121
OHIO	42,925	141,786
OKLAHOMA	14,341	73,761
OREGON	6,629	21,316
PENNSYLVANIA	49,317	138,104
PUERTO RICO	48,516	109,394
RHODE ISLAND	3,440	14,990
SOUTH CAROLINA	32,149	89,977
SOUTH DAKOTA	1,270	4,608
TENNESSEE	25,993	120,560
TEXAS	96,698	346,898
UTAH	3,894	13,897
VERMONT	1,028	3,332
VIRGIN ISLANDS	584	4,773
VIRGINIA	17,882	58,542
WASHINGTON	13,737	57,643
WEST VIRGINIA	3,719	13,713
WISCONSIN	17,449	72,482
WYOMING	520	4,680
Total	\$ 1,464,229	\$4,520,382

Schools and Libraries Support by Discount Band, 2001 (disbursements in millions)

Discount Name	Internal Connections	Internet Access	Telcomm Services	Total	% of Total
20-29%	\$ 120	\$ 182	\$ 680	\$ 981	0.07%
30-39%	150	757	3,485	4,392	0.30%
40-49%	7,249	11,579	55,770	74,597	5.09%
50-59%	10,678	16,665	64,006	91,348	6.24%
60-69%	16,548	31,452	87,181	135,180	9.23%
70-79%	17,306	22,491	129,585	169,382	11.57%
80-89%	406,934	31,748	91,926	530,607	36.24%
90%	423,608	11,333	22,800	457,741	31.26%
Total	\$ 882,591	\$ 126,205	\$ 455,433	\$ 1,464,229	100.00%
% of Total	60.28%	8.62%	31.10%	100.00%	

Rural/Urban Statistics (Disbursements in thousands)

Rural/Urban	#of Applications	% of Applications	Amount	% of Total
Rural	12,347	45.48%	\$ 246,775	16.85%
Urban	12,770	47.04%	819,333	55.96%
N/A	2,032	7.48%	398,121	27.19%
Total	27,149	100.00%	\$1,464,229	100.00%

Applicant Type (Disbursements in thousands)

Applicant Type	#of Applications	% of Applications	Amount	% of Total
School	6,211	22.88%	\$ 91,639	6.26%
School District	15,724	57.92%	1,217,760	83.17%
Library/ Library Consortium	4,372	16.10%	39,872	2.72%
Consortium	842	3.10%	114,958	7.85%
Total	27,149	100.00%	\$ 1,464,229	100.00%

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